



Project Skyrocket

DRAFT

Financial due diligence

—

March 13, 2025



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The net debt analysis has been prepared to assist in considering those items which may be 'debt like'. There is no authoritative literature or common standard with respect to the identification of items which may form part of 'debt' or 'net debt', and the decision as to what items should be included or excluded is highly judgmental. Accordingly, there is no basis on which to state whether in the analysis of net debt, all appropriate and comparable items have been included, and that there are no items that might be judged by some to be inappropriate or that all appropriate adjustments have been made. We have set out in our report the basis on which items have been included, excluded, or adjusted in the net debt analysis. You may choose to analyze the information presented differently.



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March 13, 2025

PRIVATE

General Counsel
Ares Capital Management LLC
245 Park Avenue, 44th Floor
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Dear Sirs;

We have substantially completed our engagement to assist Ares Capital Management LLC (“Client” or “you”) in performing due diligence of Synex Benefits Solutions Inc. (“Target” or the “Company”) in accordance with the terms of our engagement letter dated February 20, 2025, including its Standard Terms and Conditions. Please note we are still in process of completing our tax procedures, which will be provided under separate cover.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your proposed investment in Target. Our work was conducted via online dataroom provided by Target and virtual meetings with Target management. The primary scope of our engagement was to obtain, read, make inquiries concerning, and comment on information that you and Target provided to us, directed toward those business activities and related financial data that you identified as important to your investment decision.

Basis of information

Our engagement letter describes the procedures we were to perform; a summary of those procedures is included as an appendix to this report. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures you selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. We have indicated in our report any instances in which procedures you requested could not be performed. This document was prepared by us on the basis that you provided us with all relevant information you received concerning Target. You have agreed to review promptly this draft of our report to confirm that the procedures we performed were consistent with those requested by you, and to advise us on a timely basis of any additional procedures you would like us to perform or areas you would like us to address.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the American Institute of Certified Public Accountants (“AICPA”), and we have not otherwise verified the information we obtained or presented in this report. Also, any procedures we performed with respect to Target’s internal control over financial reporting were substantially less in scope than an examination of internal control conducted in accordance with Statements on Standards for Attestation Engagements issued by the AICPA. Therefore, we express no opinion or any other form of assurance on the Target’s internal control over financial reporting or on the information presented in our report and make no representations concerning its accuracy or completeness.

Furthermore, we have not compiled, examined, or applied other procedures in accordance with Statements on Standards for Attestation Engagements issued by the AICPA to prospective information contained in this report and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

Our procedures concentrated on the following financial information:

- Sell-side due diligence report and accompanying datapack prepared by EY covering the fiscal years ended December 31, 2022 and December 31, 2023, and the ten month period ended October 31, 2024;
- Sell-side due diligence roll-forward quality of earnings and net working capital analyses prepared by EY for the year ended December 31, 2024; and
- Audited income statement and balance sheet for the years ended and as of December 31, 2022 and December 31, 2023.

Note our work over the minority interest calculations provided by the Company is continuing as at the date of the report.

Specific Target officers and management interviewed included: Yan Charbonneau (CVO), Sylvie Lambert (CFO), Marc Noel (SVP of Finance), and Emile Sauvageau (VP of M&A and Finance).

The data included in this report was obtained from you and Target on or before March 13, 2025. Since many aspects of the proposed transaction have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to March 13, 2025. We have not reviewed a draft of this report with Target management for the purpose of confirming the factual accuracy of the information we presented.

We presented our interim findings to you in various phone conversations and emails throughout the course of our work. Because of its special nature, this report is not suited for any purpose other than to assist you in your evaluation of Target and, as such, and as agreed in the statement of work, has been prepared solely for your benefit and use and we do not authorize any other party to rely on this report.

Please contact Michael Scherer at (732) 956-0756 or Georges Pigeon at (514) 840-2178 if you have any questions or comments on this report. We look forward to continuing to provide service to you in the future.



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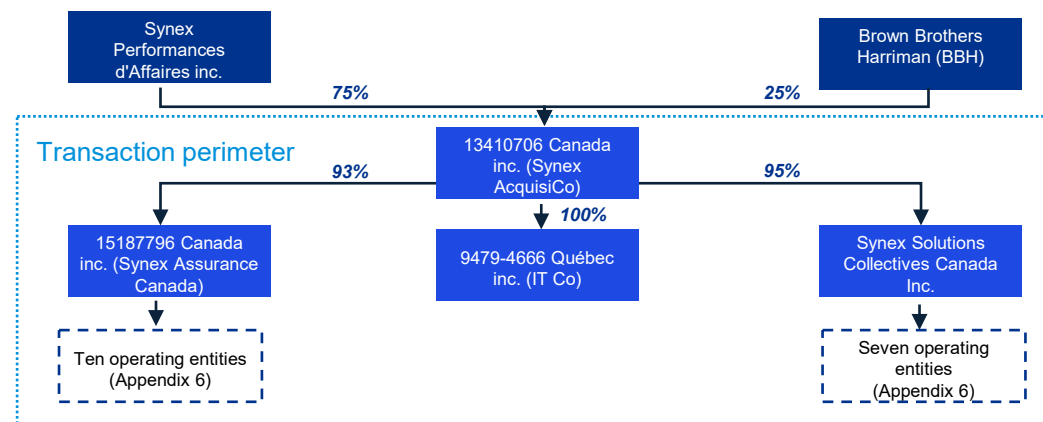
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Executive summary

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Business overview

Legal chart



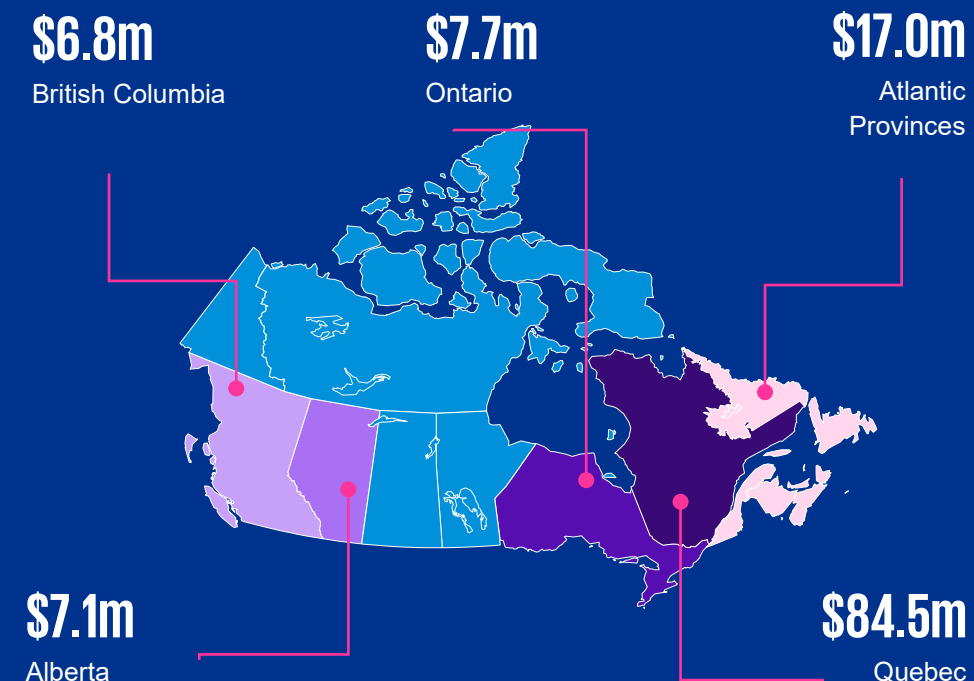
Company overview

Synex Performances d'Affaires Inc., headquartered in Quebec City, QC, is the principal shareholder of Synex Acquisico ("Synex" or the "Company"), which is the holding company of a consolidated group of insurance brokerage businesses specializing in the sale of commercial and personal P&C and group benefits products, with 22 individual operations located across Alberta, British Columbia, Ontario, Quebec, and Atlantic Canada. Historical growth in the Company's core operations has been achieved through a combination of bolt-on acquisitions and post-acquisition organic growth in acquired businesses, including 14 acquisitions completed in the FY22 to FY24 period.

Each of the Company's brokerage businesses operate mostly on a standalone basis, with certain support services provided by head office. There are a number of minority shareholdings in the group, certain of which will be bought out as part of a pre-completion reorganization. Other minority shareholdings in operating companies are expected to remain in the group structure after transaction close. Refer overleaf for summary financial and operational metrics relating to each of the Company's operating subsidiaries.



Geographical footprint: Base commission (FY24)



Source: Management provided information, KPMG analysis

Business overview – Summary of entities (1/2)

Business overview									
Entity	Type	Location	Effective ownership	Acquisition date	Headcount	FY24			
						Base commission	CPC	Other revenue	Total
P&C									
9471-7741 Québec inc.	P&C	Quebec	35%	n.a.	3	4,323	-	4	4,327
Deslauriers Assurances inc.	P&C	Quebec	82%	May-16	-	440	-	(19)	421
Deslauriers & Associés inc.	P&C	Quebec	82%	May-16	50	10,049	1,763	111	11,923
Couture Rochette & Associés inc.	P&C	Quebec	78%	Jun-17	74	22,211	4,268	312	26,791
Invessa Assurances et Services Financiers inc.	P&C	Quebec	82%	Mar-20	83	10,563	1,901	216	12,680
9422-3310 Québec inc.	P&C	Quebec	91%	n.a.	n.a.	-	-	-	-
Synex Auto Habitation inc.	P&C	Quebec	91%	n.a.	-	85	0	(4)	80
Girard Tremblay & Associés inc.	P&C	Quebec	55%	n.a.	13	2,419	374	14	2,806
Plan B Solutions d'assurances inc.	P&C	Quebec	72%	Apr-22	29	5,929	938	71	6,938
Verrier & Associés inc.	P&C	Quebec	82%	Jul-22	61	11,668	2,001	188	13,856
MKH Solutions	P&C	Quebec	55%	n.a.	3	186	1	4	190
J.M. & C.W. Hope Grant Ltd.	P&C	Atlantic Canada	60%	Mar-22	n.a.	-	-	-	-
GTI Broker Group inc.	P&C	Atlantic Canada	60%	Mar-21	154	16,484	900	898	18,282
Sharp Insurance Brokers inc.	P&C	Alberta	48%	Mar-21	47	7,059	350	1,342	8,751
Palladium Insurance inc.	P&C	Ontario	93%	Dec-22	47	7,646	700	51	8,397
14885503 Canada inc. (Soplex Ontario) / Soplex Canada	P&C	Ontario	72%	Dec-25	n.a.	32	-	3	35
9350-3332 Québec Inc. (Logiciel)	P&C	Quebec	78%	n.a.	n.a.	-	-	-	-
Paul Senay	P&C	Quebec	82%	Dec-23	n.a.	-	-	-	-
Renaud Assurance et Gestion de Risques Inc.	P&C	Quebec	82%	Dec-17	1	-	-	-	-
9368-8026 Québec inc. (Gesco)	P&C	Quebec	78%	n.a.	n.a.	-	-	-	-
André Fradet & Associés inc.	P&C	Quebec	78%	Mar-22	n.a.	-	-	-	-
Synex Re Limited	P&C	Barbados	46%	n.a.	n.a.	-	-	-	-
Link	P&C	Quebec	48%	n.a.	7	2,332	-	242	2,574
SAHY	P&C	Quebec	93%	n.a.	32	4,717	451	(79)	5,089
Total P&C					604	106,142	13,646	3,352	123,140

Note: Ownership % metrics above relate to effective ownership at the Synex AcquisiCo level. Headcount information is based on payroll report data as at Oct-24.

Source: Management provided information, KPMG analysis

Business overview – Summary of entities (2/2)

Business overview									
						FY24			
Entity	Type	Location	Effective ownership	Acquisition date	Headcount	Base commission	CPC	Other revenue	Total
Benefits									
Goto Benefits inc.	Benefits	Atlantic Canada	60%	Jul-21	7	512	69	-	581
ZLC Employee Benefits Solutions inc.	Benefits	British Columbia	95%	Apr-22	21	6,815	863	13	7,691
Les services financiers Éric Lervert inc.	Benefits	Quebec	71%	Aug-22	4	1,178	291	13	1,481
9114-5219 Québec inc. (Avantages sociaux intégrés (ASI)	Benefits	Quebec	83%	May-22	-	1,764	317	10	2,091
9435-1723 Québec inc. (Innov-Médic)	Benefits	Quebec	83%	Jun-21	n.a.	-	-	-	-
Services financiers JDF inc.	Benefits	Quebec	83%	Jun-22	n.a.	-	-	-	-
Alliance SMG inc.	Benefits	Quebec	84%	Mar-22	12	2,916	99	46	3,062
AFL Groupe Financier inc.	Benefits	Quebec	83%	n.a.	23	3,665	947	103	4,716
Synex Solutions Collectives Inc.	Benefits	Quebec	62%	n.a.	n.a.	-	-	-	-
Total Benefits					67	16,850	2,587	185	19,622
Holding									
9427-6755 Québec inc. (Synex Assurances)	Holding	Quebec	91%	n.a.	4	68	3,273	2,386	5,728
Synex Assurance Canada	Holding	Quebec	93%	n.a.	n.a.	-	-	0	0
Synex Benefits Solutions West Ltd.	Holding	British Columbia	95%	n.a.	n.a.	-	-	0	0
Synex Solutions Collectives Canada inc.	Holding	Quebec	63%	n.a.	n.a.	-	-	0	0
9479-4666 Québec Inc. (Synex Tech)	Holding	Quebec	93%	n.a.	n.a.	-	-	-	-
13410706 Canada inc. (Synex AcquisiCo)	Holding	Ontario	93%	n.a.	23	-	-	89	89
Total Holding					26	68	3,273	2,475	5,817
Total					698	123,059	19,507	6,013	148,579

Note: Ownership % metrics above relate to effective ownership at the Synex AcquisiCo level. Headcount information is based on payroll report data as at Oct-24.

Source: Management provided information, KPMG analysis

CPC income retained in Synex Assurances represents the total contingent commission synergy derived from the combined volume of the group. This bonus income is not allocated to the individual operating companies in the group.

Summary financials – Income statement and balance sheet

The summary income statement and summary balance sheet below reflect the consolidated financial information of the Company for FY22, FY23, and FY24, in addition to TTM Oct-24 (collectively, the “Historical Period”) based on trial balance data. The financial statements for FY22 and FY23 have been subject to audit by Deloitte, and the audit for FY24 is currently ongoing. Refer to Appendix 1 for a reconciliation between the trial balances and the audited financial statements for FY22 and FY23. The Company’s financial statements are prepared under ASPE and are reported in CAD which is the functional currency of the group.

Income statement Consolidated				
\$'000	FY22	FY23	TTM Oct-24	FY24
Net commission revenue	81,340	96,308	104,843	106,183
Contingent commission	17,855	17,259	17,169	19,507
Override	-	792	3,060	4,074
Other revenue	1,169	1,256	1,862	1,939
Benefits revenue	12,484	16,802	17,264	16,877
Revenue	112,848	132,416	144,197	148,579
Salaries, commissions and benefits	(56,556)	(70,373)	(75,175)	(75,821)
Selling expenses	(3,924)	(4,499)	(4,742)	(4,762)
General and administrative expenses	(13,703)	(16,054)	(16,683)	(16,280)
Financial expenses	(2,803)	(577)	193	(604)
Operating expenses	(76,985)	(91,502)	(96,407)	(97,467)
Operating income	35,863	40,914	47,790	51,112
Other expenses (revenues)	(5,789)	(1,937)	(5,941)	(5,731)
EBITDA	30,075	38,978	41,849	45,381
Sell-side pro forma adjusted EBITDA	49,835	49,163	55,157	56,757
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490
KPIs				
EBITDA margin %	26.7%	29.4%	29.0%	30.5%
Sell-side pro forma adjusted EBITDA margin %	39.5%	36.8%	37.1%	37.6%
Pro forma adjusted EBITDA margin %	35.8%	32.3%	31.5%	31.8%

Source: Management provided information, KPMG analysis

Balance sheet Consolidated				
\$'000	As at			
	Dec-22	Dec-23	Oct-24	Dec-24
Assets				
Cash	7,447	7,443	8,791	8,342
Cash separated from brokerage	17,432	11,482	13,933	13,884
Accounts receivable	5,086	6,255	6,908	5,299
Other current assets	67,699	74,693	58,799	73,134
Current assets	97,664	99,874	88,431	100,659
Note receivable, non-interest-bearing with no repayment terms	2,601	1,894	1,692	1,437
Investments	401	40	9,346	19,670
Fixed assets	3,131	3,311	3,318	3,201
Intangibles	366,658	399,022	384,074	380,793
Non-current assets	372,791	404,268	398,430	405,101
Assets	470,456	504,142	486,860	505,761
Liabilities and shareholders' equity				
Line of credit	(2,000)	(7,000)	(8,750)	(12,750)
Accounts payable	(10,515)	(11,603)	(11,892)	(12,813)
Other payable	(72,565)	(103,234)	(92,269)	(100,852)
Current liabilities	(85,080)	(121,836)	(112,911)	(126,415)
Retractable redeemable shares	(158,091)	(192,290)	(241,317)	(241,896)
Stock options liability	(155)	(1,619)	(873)	(1,949)
Long-term debt	(247,601)	(243,926)	(243,952)	(246,108)
Other payable	(10,767)	(6,388)	471	(49)
Non-current liabilities	(416,614)	(444,222)	(485,670)	(490,001)
Total liabilities	(501,694)	(566,059)	(598,581)	(616,417)
Total equity	31,238	61,917	111,721	110,656
Liabilities and equity	(470,456)	(504,142)	(486,860)	(505,761)

Source: Management provided information, KPMG analysis

Key findings — Quality of earnings

Quality of earnings summary				Read more
\$'000	FY22	FY23	TTM Oct-24	FY24
Net income	(13,281)	(26,604)	(26,933)	(18,387)
Interest expense	29,690	45,257	48,225	47,234
Income taxes (recovery)	5,457	(872)	(11,529)	(5,928)
Depreciation and amortization	8,208	21,196	32,086	22,463
Reported EBITDA	30,075	38,978	41,849	45,381
Sell-side adjustments	13,196	8,906	11,573	9,508
PF sell side diligence adjustments	6,564	1,279	1,734	1,868
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Other potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Adjustments to reported EBITDA per our quality of earnings analysis are classified as follows:

- Sell-side and pro forma sell-side diligence adjustments: Reflect the adjustments presented in the sell-side due diligence report prepared by EY, which include certain items designated as “non-recurring” in Management’s internal reporting (FY24: \$5.2 million), and other adjustments identified through the sell-side due diligence process (FY24: \$6.2 million).
- Challenges to sell-side adjustments: Comprise the reversal of certain adjustments presented in sell-side due diligence, totaling \$5.5 million in FY24, in particular, certain sell-side expense add-backs which exhibit a recurring profile and are considered to be part of the Company’s normal operating cost base.
- Other potential adjustments: Include additional items identified as part of our due diligence work, the most significant of which relate to the exclusion of override revenues (\$4.1 million), and an allocation of annual transaction costs to EBITDA (FY24: \$1.2 million).
- Pro forma adjustments: Present the estimated historical EBITDA impact of two acquisitions completed in 2025, mainly relating to BMB Assurances (FY24: \$1.0 million).

While we have sought to capture costs associated with the operation of an inorganic growth focused enterprise in our presentation of adjusted EBITDA, there may be certain sell-side add-backs which have an M&A component but could not be specifically isolated and hence reflected in our adjustment for an estimated recurring cost burden.



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Adjusted income statement				Read more
\$'000	FY22	FY23	TTM Oct-24	FY24
Net commissions revenue	91,535	100,227	107,609	108,685
Benefits revenue	16,425	16,894	17,308	16,916
Core operations revenue	107,959	117,121	124,916	125,601
Salaries, commissions and benefits	(62,321)	(68,829)	(75,474)	(76,013)
Selling expenses	(4,488)	(5,248)	(5,315)	(5,325)
General and administrative expenses	(14,810)	(17,700)	(18,667)	(18,291)
Core operations	26,341	25,343	25,461	25,972
CPCs and bonus commissions	18,486	17,579	19,717	20,054
Other	734	782	535	465
EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

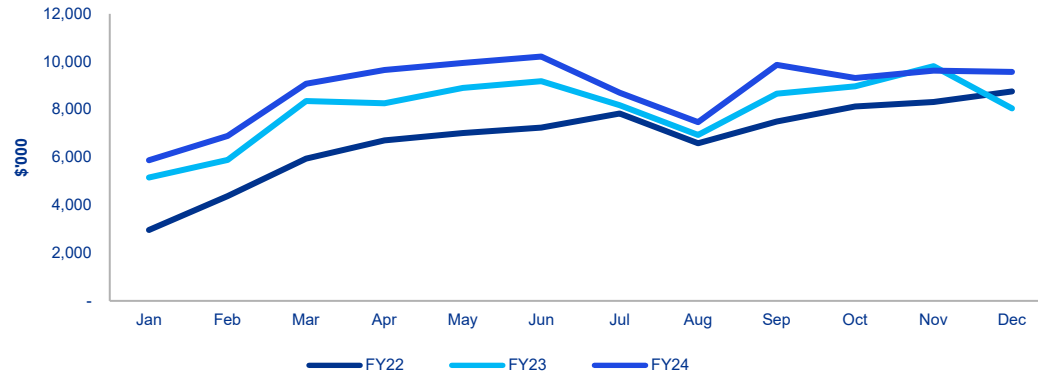
The summary adjusted income statement above allocates the results of the Company between core operations (main P&C and group benefits brokerage activities), CPCs and bonus commissions, and other items (largely comprising interest income generated on trust bank balances and on premium financing arrangements). Revenue and earnings performance over the Historical Period are underpinned by the following trends:

- year-on-year growth in P&C base commissions as a result of increased production and policy pricing upside (CAGR: 9.0%);
- stable base commissions in group benefits, with more limited annual increase between FY23 and FY24 (CAGR: 1.5%);
- annual step-ups in operating expenses which trended broadly in line with revenue from FY22 to FY24, notably with respect to producer commissions (paid relative to revenue) and indirect headcount which increased by approximately 21% (+121 FTEs) between FY22 and FY24.
- moderate upside in CPC and bonus commissions between FY22 and FY24 driven by incremental volume, offset by annual variability in carrier loss ratios.

Notwithstanding revenue growth of 14.9% achieved over the Historical Period, pro forma adjusted EBITDA recorded modest growth of \$0.9 million between FY22 and FY24, with increased operating costs weighing on earnings performance.

Key findings — Base commissions

Net commission revenue (P&C) – Reported

[Read more](#)


Source: Management provided information, KPMG analysis

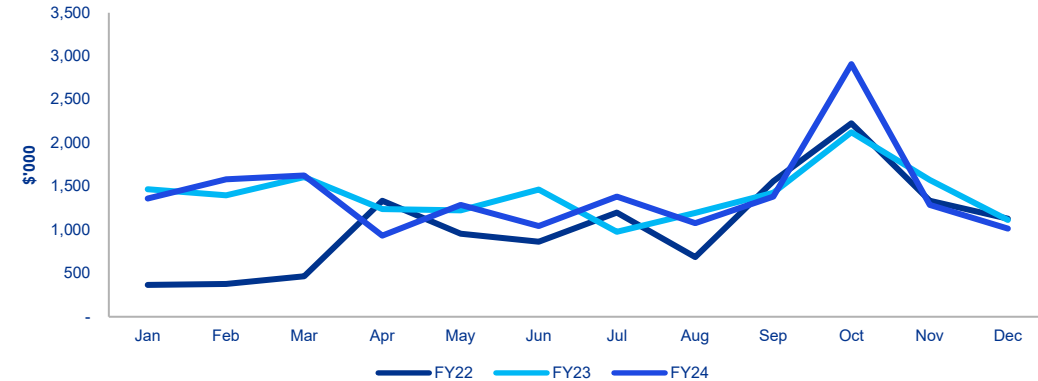
Base commissions generated in P&C brokerage increased at a CAGR of 14.3% over the Historical Period, driven by a combination of:

- business acquisitions, most notably between FY22 and FY23 when 13 acquisitions approx. \$10.0 million of total \$15.0 million year-on-year revenue upside; and
- increase in net new clients and policy pricing growth, although the contribution of each has not been specifically split in this report.

Average commission rates have remained largely static from FY22 through FY24 at approx. 15.7% to 15.8% despite some changes in carrier mix and variations in the composition of policies sold each year. Businesses acquired during FY22 generally outperformed pre-existing P&C operations in subsequent periods, indicative of realization of revenue synergies and efficiencies implemented post-integration.

P&C base commissions have historically exhibited distinct seasonality driven by commercial policy renewals arising substantially along calendar quarter-ends, with sales of personal insurance products concentrated in the April to June period.

Group benefits revenue – Reported

[Read more](#)


Source: Management provided information, KPMG analysis

Despite demonstrating year-on-year increase between FY22 and FY23 of 34.6% (mainly as a result of acquisitions), group benefits base commission income delivered limited annual growth in FY24 (+0.4%), partly as a result of client churn in some larger accounts.

We understand base commission revenue associated with group benefits is recognized at inception of the policy regardless of policy term, with any true-ups for participant coverage selections or membership population at the end of the policy term recognized out-of-period. Management indicated that the historical quantum of out-of-period commission true-ups associated with group benefits plans was not significant but could not provide supporting documentation to verify this assertion.

Management represents that group benefits commission has historically been higher in October in each year, coinciding with the renewal dates of a large pool of clients in ZLC.

We note current limitations in the Company's capacity to generate a comprehensive database of group benefits information across all operating companies on a consistent basis. The sell-side due diligence did not appear to perform any meaningful work over historical trends in the Company's group benefits portfolio.

Key findings — CPC income and overrides

CPC income summary – Reported				Read more
\$'000	FY22	FY23	FY24	
Intact	8,866	6,445	9,967	
Aviva	2,325	731	1,530	
Economical	413	558	1,481	
Northbridge	1,438	1,640	960	
Echelon	107	2,080	250	
CNA	459	694	349	
L'Unique	708	584	-	
Top 5 P&C CPC carrier	13,796	11,590	14,189	
Other P&C CPC carrier	2,462	3,426	2,702	
CPC income true up	-	-	(294)	
Other items	258	297	323	
Subtotal P&C CPC	16,516	15,312	16,920	
Subtotal Benefits CPC	1,338	1,946	2,587	
Total	17,854	17,259	19,507	
KPIs				
Total P&C CPC as % of gross commissions	13.5%	11.0%	10.8%	
Total P&C CPC as % of net commissions	20.3%	15.9%	15.9%	
Total Benefits CPC as % of net commissions	10.7%	11.6%	15.3%	

Source: Management provided information, KPMG analysis

CPC commissions are generated from the Company's insurance carrier partners based on specific performance metrics which consider production volume, new business development, loss ratios on policies sold, among other factors. Overall, CPC revenues trended lower in FY23 relative to FY22, mainly as a result of higher losses incurred by carriers across the market which normalized through FY24.

Management estimates and accrues CPC commissions in the P&C business through the calendar year, with collection in March / April of each subsequent period once computations are finalized by carriers. Revenue has historically been subject to periodic true-up during the fiscal year as visibility over the full year amount becomes available, with a final adjustment recognized at year end to align CPC revenue with amounts confirmed by carriers. CPC income recorded for FY24 reflects Management's forecast bonuses for the 2024 risk year, with in excess of 85% confirmed with carriers at the time of reporting.

Group benefits bonus commissions exhibited more stable year-on-year growth through the Historical Period, underpinned by gains from incremental volume contributed in FY23 from previous year acquisitions, alongside a catch-up \$0.2 million bonus in FY24 related to FY23.

Portfolio transfer contract summary							Read more
Insurer from	Insurer to	Estimated Transferred		Contract start date	Period covered (months)	Override (%)	
		Premiums (\$m)	Overrides (\$m)				
L'Unique	Economical	8.80	2.20	Dec-24	12	25.0%	
L'Unique	Economical	2.70	0.70	Dec-24	12	25.0%	
Promutuel	Intact	6.30	1.30	Jan-24	12	20.0%	
Promutuel	Intact	7.70	1.50	Jan-24	10	20.0%	
SE Mutual Insurance	Intact	5.00	1.00	Jan-24	9	20.0%	
AVIVA	Intact	19.40	2.90	Sep-23	11	15.0%	

Source: Management provided information, KPMG analysis

During FY22 to FY24, the Company recognized revenue of \$4.9 million related to overrides arising on the transfer of certain insurance portfolios between carriers, comprising six individual agreements over the Historical Period.

While Management views override income as a recurring source of revenue in its assessment of adjusted EBITDA, we believe override income should instead be considered as one-time in nature and not a sustainable source of revenue in perpetuity notwithstanding the potential short-term opportunity to generate additional override revenue from the transfer of certain volume between carriers. Ultimately, the Company's ability to continue to generate override income in future periods will be limited by regulatory restrictions on policy transfer activities and fiduciary obligations with respect to serving clients' best interests in arranging insurance packages.

We understand override revenue recognized in Historical Periods was not commissionable at the producer level and was largely retained at corporate head office. As a result, the full amount of override income is equivalent to its EBITDA contribution. Management noted that receipt of override income from carriers was not expected to impact CPC revenue earned.

Key findings — Net working capital

Net working capital adjustments							Read more
\$'000	As at			Average			
	31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24	
Current assets	99,874	88,431	100,659	79,999	84,326	84,201	
Current liabilities	(121,836)	(112,911)	(126,415)	(74,600)	(106,677)	(109,550)	
Net working capital, reported	(21,962)	(24,481)	(25,756)	5,399	(22,351)	(25,349)	
Definitional adjustments	36,208	41,478	46,728	9,606	35,942	39,665	
Sell-side diligence adjustments	(3,005)	(5,859)	(5,746)	(3,177)	(2,903)	(3,258)	
Net working capital, sell-side pro forma adjusted	11,240	11,139	15,226	11,828	10,689	11,058	
Challenges to sell side adjustments	370	1,093	1,248	(28)	331	348	
Other potential adjustments	2,368	2,201	3,185	589	2,258	2,519	
Net working capital, adjusted	13,978	14,433	19,660	12,389	13,277	13,925	
TTM adjusted net sales	135,482	145,168	146,120	135,482	145,168	146,120	
Adjusted working capital, as a % of net sales	10.3%	9.9%	13.5%	9.1%	9.1%	9.5%	

Source: Management provided information, KPMG analysis

The summary analysis of net working capital above provides a reconciliation from reported to adjusted net working capital as presented in this report. Adjustments to reported net working capital are summarized as follows:

- **Definitional adjustments:** Comprises the add-back of various cash-, debt-, and capital-like balances presented within current assets and current liabilities in the consolidated balance sheet.
- **Sell-side adjustments:** Working capital adjustments presented in the sell-side due diligence report mainly correspond to adjustments quantified as part of the sell-side quality of earnings analysis, including the true-up of monthly CPC receivables (\$0.4 million) and exclusion of non-recurring items (\$0.5 million). Sell-side adjusted net working capital position also adjusts cash held in trust accounts to required minimum levels in each operating company, with an average impact of \$4.3 million in FY24.
- **Challenges to sell-side adjustments:** Pertain principally to the reversal of sell-side adjustments to maintain consistency with treatment in the quality of earnings analysis. We also quantify an adjustment to reflect the estimated impact of premiums aged greater than 90 days which are disallowed in the computation of the net trust position (FY24 average: \$0.7 million).

Adjusted net working capital							Read more
\$'000	As at			Average			
	31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24	
CPC receivable	16,792	15,428	18,695	11,043	12,716	13,015	
Accounts receivable	5,784	7,434	5,258	5,979	6,445	6,418	
Net trust position	1,087	1,829	3,940	1,901	2,586	2,944	
Other payables and accruals	(9,685)	(10,258)	(8,233)	(6,534)	(8,469)	(8,452)	
Net working capital, adjusted	13,978	14,433	19,660	12,390	13,278	13,925	
As % of TTM adjusted revenue	10.3%	9.9%	13.5%	9.1%	9.1%	9.5%	

Source: Management provided information, KPMG analysis

- **Other adjustments:** Other adjustments identified as part of our work are mostly aligned to adjustments presented in quality of earnings, including the add-back of deferred revenue balances related to overrides (FY24 average: \$1.7 million), and pro forma adjustment for the BMB Assurances acquisition (FY24 average: \$0.5 million).

On an adjusted basis, net working capital exhibited a consistent positive profile through the Historical Period driven by significant CPC receivables which are received annually in March / April. Adjusted net working capital increased moderately as a % of revenue between FY23 (9.1%) and FY24 (9.5%), mainly driven by movement in the net trust position.

Adjusted net working capital consists essentially of accrued CPC receivable, accounts receivable (such as direct bill receivable), trade payable and accruals, and a positive net trust position. The net trust position component arises from aged / over 90 days premium receivable balances and otherwise insufficient cash balances in certain legal entities to fully extract the otherwise positive net trust position. These characteristics suggest suboptimal management of receivables, creating a net working capital requirement, and thus inclusion in adjusted net working capital averages (which typically form the basis for “target net working capital” for closing date adjustment purposes).

Key findings — Net debt and minority interests

Net debt			Read more
\$'000	Ref	As at 31-Dec-24	
Financial indebtedness		(512,949)	
Definitional reclasses from net working capital		(3,856)	
Other reclasses from net working capital		2,161	
Net debt, adjusted		(514,644)	
Other potential debt-like items			
Note receivable	1	1,437	
Synex Re	2	136	
Transaction costs	3	n.q.	
Unpaid dividends	4	n.q.	
BMS/IT systems upgrade	5	n.q.	
Purchase consideration for new acquisitions	6	n.q.	
Minority interests			
Minority equity		[tbc]	
Minority debt		[tbc]	

Source: Management provided information, KPMG analysis

The Company's adjusted net debt amounted to \$514.6 million as at Dec-24, including balances outstanding on credit facilities held with the Company's lenders (\$258.3 million) and payables related to preference shares (\$241.9 million), offset by cash held in operating accounts (\$8.3 million).

Other reclass items which you may wish to consider as part of your purchase price negotiations include the following:

- deferred income balances related to upfront receipt of override income from carriers which is contingent on portfolio transfers proceeding as expected (Dec-24: \$2.1 million);
- surplus cash above minimum in trust thresholds in operating subsidiaries (Dec-24: \$7.0 million); and
- supplier balances relating to capital expenditure incurred pre-closing (Dec-24: \$0.1 million).

There may also be argument for the negotiation of other items which may warrant purchase price deduction but could be fully quantified as at the date of reporting including unpaid contractual dividends on preference shares, residual IT systems migration and upgrade costs associated with past acquisitions, and purchase consideration payable with respect to acquisitions which completed in early 2025.

Minority interests	Read more
[Our working is continuing on validating the inputs to the minority equity and minority debt calculations provided by the Vendors.]	

02

Quality of earnings

2.1	Quality of earnings	15
2.2	Adjusted income statement	31
2.3	Adjusted EBITDA by source	35

Quality of earnings – overview (1/2)

The sell-side due diligence report presented a total of \$11.4 million in adjustments to reported EBITDA in FY24 (TTM Oct-24: \$13.3 million). Adjustments to the sell-side pro forma adjusted EBITDA identified as part of our work include a number of challenges to the adjustments presented in the sell-side due diligence report (FY24: \$5.5 million), alongside other potential and pro forma adjustments which have been quantified as part of our analysis, amounting to \$4.8 million in FY24.

Quality of earnings - summary				
\$'000	FY22	FY23	TTM Oct-24	FY24
Net income	(13,281)	(26,604)	(26,933)	(18,387)
Interest expense	29,690	45,257	48,225	47,234
Income taxes (recovery)	5,457	(872)	(11,529)	(5,928)
Depreciation and amortization	8,208	21,196	32,086	22,463
Reported EBITDA	30,075	38,978	41,849	45,381
Sell-side adjustments	13,196	8,906	11,573	9,508
PF sell side diligence adjustments	6,564	1,279	1,734	1,868
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Other potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Basis of preparation

The quality of earnings analysis presents pro forma adjusted EBITDA for FY22, FY23, TTM Oct-24, and FY24. Pro forma adjusted EBITDA comprises of the following components:

- **Reported EBITDA:** Reflects the Company's reported earnings before, tax, interest expense, depreciation and amortization charges. Interest expense includes both interest on bank loans and dividends on retractable or mandatorily redeemable preferred shares.
- **Sell-side adjustments:** The sell-side due diligence report prepared by EY presented earnings adjustments for FY22, FY23, and TTM Oct-24. The most significant adjustments include extraordinary and non-recurring items (FY24: \$4.5 million), non-recurring salaries and benefits (FY24: \$1.5 million), shareholder expenses (FY24: \$1.7 million), and transaction costs (FY24: \$1.2 million). Refer to Appendix 2 and the sell-side due diligence report for further commentary.
- **Pro forma sell-side adjustments:** Pro forma adjustments presented in the sell-side due diligence report mainly relate to pre-acquisition earnings for businesses which were acquired during the Historical Period (FY24: \$1.1 million); and other potential cost savings in rent, audit fees, and IT costs as a result of BMS migration initiatives. Refer to Appendix 2 and the sell-side due diligence report for further commentary.
- **Challenges to sell-side adjustments:** Reflect quantified reversals and refinements to EBITDA adjustments presented in the sell-side diligence report. Our challenges primarily relate to certain professional fees, IT costs, advertising, and salaries which are characterized as non-recurring in the sell-side due diligence report but appear to be incurred at a consistent level across FY22 to FY24 or relate to normal course business activities. Refer to pages 18-22 for commentary.

Quality of earnings – overview (2/2)

Quality of earnings - summary				
\$'000	FY22	FY23	TTM Oct-24	FY24
Net income	(13,281)	(26,604)	(26,933)	(18,387)
Interest expense	29,690	45,257	48,225	47,234
Income taxes (recovery)	5,457	(872)	(11,529)	(5,928)
Depreciation and amortization	8,208	21,196	32,086	22,463
Reported EBITDA	30,075	38,978	41,849	45,381
Sell-side adjustments	13,196	8,906	11,573	9,508
PF sell side diligence adjustments	6,564	1,279	1,734	1,868
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Other potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Basis of preparation (continued)

- **Other potential adjustments:** : Comprise other adjustments to EBITDA that have been identified through the course of our work including reversal of override income considered to be one-time in nature (FY24: \$4.1 million), overlay of an average annual transaction costs amount to support inorganic growth (FY24: \$1.2 million), and other non-recurring income and expenses recorded in the Historical Period. Refer to pages 23-26 for commentary.
- **Pro forma adjustments:** Adjustments are made to illustrate the full-year impact of recently completed acquisitions of BMB Assurances and Daniel Belley and the corresponding effect on historical earnings. Refer to page 27 for commentary.
- **Other considerations:** Represent other items which should be considered in your assessment of EBITDA of the Company, although these predominately relate to go forward operations or could not be fully quantified at the date of reporting. Refer to pages 28-30 for commentary.

Quality of earnings – nature of adjustments

The table below presents a complementary view of the quality of earnings analysis, where adjustments are categorized between computational errors, reversal of override income, and differences between sell-side due diligence adjustments and our perspectives thereon combined with other potential adjustments noted during the course of our due diligence work. Most adjustments presented herein can be interpreted as differences in perspective.

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Reported EBITDA	30,075	38,978	41,849	45,381
Sell-side adjustments	13,196	8,906	11,573	9,508
Adjusted EBITDA	43,271	47,883	53,423	54,889
PF sell side diligence adjustments	6,564	1,279	1,734	1,868
Sell sidePF adjusted EBITDA	49,835	49,163	55,157	56,757
Computational errors	(2)	(128)	691	9
Override	-	(792)	(3,810)	(4,074)
Other adjustments	(4,273)	(4,537)	(6,326)	(6,202)
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Alternative view of adjustments

Overview

The analysis presented opposite illustrates a complementary view of our quality of earnings analysis. Adjustment groupings presented opposite are summarized as follows:

- **Computational errors:** Reflect calculation errors and or formulaic issues with adjustments presented in the sell-side due diligence report which, although we substantially agree with in principle, contained certain computational errors further to our analysis of the supporting workings provided. This includes instances where adjustments were double-counted, unreconciled to relevant supporting workings, or indicated potential shortcomings in the allocation of adjustment amounts on a monthly basis.
- **Override elimination:** We present our adjustments related to override revenue separately in this quality of earnings schedule, which includes the reversal of the sell-side adjustment to true-up override revenue and the exclusion of reported override income from EBITDA. Override income recognized in FY23 and FY24 is deemed to be one-time in nature and not a sustainable source of recurring revenue.
- **Other adjustments:** Differences of perspectives include adjustments where we fundamentally disagree with the basis or rationale of other adjustments presented in the sell-side due diligence report, in addition to other adjustments identified through the course of our work which were not considered in sell-side pro forma adjusted EBITDA. This primarily relates to expenses identified as non-recurring or specifically related to bolt-on transaction activity in the sell-side due diligence report that we categorize as part of ordinary course operations (FY24: \$4.2 million) on the basis that Synex strategic growth is based on both organic initiatives and M&A.

Quality of earnings – challenges to sell-side adjustments (1/5)

Quality of earnings					
\$'000		FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA		49,835	49,163	55,157	56,757
Challenges to sell-side QofE adjustments					
Non-recurring professional fees	i.	(312)	(617)	(455)	(510)
IT costs	ii.	(196)	(771)	(673)	(509)
Advertising and entertainment	iii.	-	(397)	(761)	(710)
Settlement payments	iv.	(161)	(111)	(201)	(221)
Extraordinary items	v.	(22)	(39)	(55)	(23)
Other adjustments	vi.	(42)	(270)	-	-
Extraordinary and non-recurring items	1	(732)	(2,205)	(2,145)	(1,973)
Non-recurring salaries and benefits	2	(830)	(1,178)	(1,141)	(1,153)
Shareholders expenses	3	-	(179)	(141)	(133)
Non-cash incentive compensation (LTIP)	4	-	(220)	(916)	(1,055)
Transaction costs	5	(276)	-	-	-
CPC revenue true-up	6	0	(0)	530	(0)
Override	7	-	-	(750)	-
Accounting corrections	8	356	0	(76)	-
Montreal office project	9	-	-	(113)	(150)
Adjusted EBITDA - Pre-acquisition	10	(891)	-	(856)	(1,027)
PF recurring audit costs	11	-	(181)	(27)	-
PF rent adjustment	12	(77)	(77)	(30)	(17)
Challenges to sell side QofE adjustments		(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA		47,385	45,122	49,494	51,249
Potential adjustments		(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA		44,551	42,776	44,654	45,432
Pro forma adjustments		1,010	929	1,059	1,059
Pro forma adjusted EBITDA		45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Challenges to sell-side quality of earnings adjustments

1. Extraordinary and non-recurring items

- Non-recurring professional fees:** Reversal of sell-side add-backs pertaining to items identified as non-recurring by Management which appear to relate to normal course business activities and have been incurred consistently by the Company through the Historical Period. The sell-side adjustment also includes add-backs related to external provider costs which have been internalized in subsequent periods. The historical cost impact of the current internal resource is considered in adjustment #29. This adjustment comprises of the following components:
 - Legal fees: reversal of an add-back for compliance and litigation fees which are incurred in each period ranging from \$0.1 million to \$0.2 million per annum.
 - Accounting fees: reversal of add-back proposed for interim audit fees incurred in December 2024 (\$0.1 million).
 - Recruiting fees: reversal of add-back of headhunter costs on account of their annual recurrence (\$0.3 million to \$0.4 million recorded in each year).
 - Other: reversal of sell-side add-back for uncategorized “other” professional fees (\$0.1 million in each year)
- IT costs:** Adjustment to Management's add-back for non-recurring IT costs for items which are potentially recurring in nature and have collectively amounted to approx. \$0.5 million per annum through the Historical Period, including system support costs, licenses, cybersecurity and maintenance expenses. The adjustment also reflects an amount of unspecified “other” IT costs which were not attributed to specific IT projects, but simply accepted as non-recurring, in the sell-side due diligence report.
- Advertising and entertainment:** Reversal of Management's add-back for non-recurring advertising and entertainment expenses since these appear to relate to normal course business activities. These items include conferences, internal events, marketing expenses and sponsorship costs.

Quality of earnings – challenges to sell-side adjustments (2/5)

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell-side QofE adjustments				
Non-recurring professional fees	i. (312)	(617)	(455)	(510)
IT costs	ii. (196)	(771)	(673)	(509)
Advertising and entertainment	iii. -	(397)	(761)	(710)
Settlement payments	iv. (161)	(111)	(201)	(221)
Extraordinary items	v. (22)	(39)	(55)	(23)
Other adjustments	vi. (42)	(270)	-	-
Extraordinary and non-recurring items	1 (732)	(2,205)	(2,145)	(1,973)
Non-recurring salaries and benefits	2 (830)	(1,178)	(1,141)	(1,153)
Shareholders expenses	3 -	(179)	(141)	(133)
Non-cash incentive compensation (LTIP)	4 -	(220)	(916)	(1,055)
Transaction costs	5 (276)	-	-	-
CPC revenue true-up	6 0	(0)	530	(0)
Override	7 -	-	(750)	-
Accounting corrections	8 356	0	(76)	-
Montreal office project	9 -	-	(113)	(150)
Adjusted EBITDA - Pre-acquisition	10 (891)	-	(856)	(1,027)
PF recurring audit costs	11 -	(181)	(27)	-
PF rent adjustment	12 (77)	(77)	(30)	(17)
Challenges to sell side QofE adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA	47,385	45,122	49,494	51,249
Potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA	44,551	42,776	44,654	45,432
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Challenges to sell-side quality of earnings adjustments (continued)

1. Extraordinary and non-recurring items (continued)

- iv. *Settlement payments*: Revision to the sell-side add-back for non-recurring settlement payments to reflect customer settlement expenses which have been incurred. The customer settlements are considered to be recurring operational expenses as no specific explanation supporting their non-recurrence was provided.
- v. *Extraordinary items*: Revision to the sell-side add-back for extraordinary items which are not attributed to any particular item.
- vi. *Other adjustments*: Similar to adjustment for advertising and entertainment, the sell-side "other adjustments" amount includes a component of events and travel costs which could be considered as normal course business activities.

2. Non-recurring salaries and benefits: Reverses the sell-side add-back for:

- payroll and expenses associated with the Company's M&A department, with such costs being considered recurring given the Company's expectation of continued growth through M&A; and
- the portion of the CVO's time which is assumed to relate to corporate development activities on the basis of its arbitrary allocation and the expectation of continued senior executive involvement in M&A activity.

Refer to other consideration F for further discussion on other salaries and benefits expenses which are adjusted out of reported EBITDA in the sell-side due diligence analysis.

3. **Shareholder expenses**: The sell-side adjustment for shareholders expenses includes an add-back for expenses associated with the three management individuals who are expected to depart upon transaction completion. However, it is assumed that individuals assuming these roles post-transaction will incur a similar level of expense going forward.

Quality of earnings – challenges to sell-side adjustments (3/5)

Quality of earnings					
\$'000		FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA		49,835	49,163	55,157	56,757
Challenges to sell-side QofE adjustments					
Extraordinary and non-recurring items	1	(732)	(2,205)	(2,145)	(1,973)
Non-recurring salaries and benefits	2	(830)	(1,178)	(1,141)	(1,153)
Shareholders expenses	3	-	(179)	(141)	(133)
Non-cash incentive compensation (LTIP)	4	-	(220)	(916)	(1,055)
Transaction costs	5	(276)	-	-	-
CPC revenue true-up	6	0	(0)	530	(0)
Override	7	-	-	(750)	-
Accounting corrections	8	356	0	(76)	-
Montreal office project	9	-	-	(113)	(150)
Adjusted EBITDA - Pre-acquisition	10	(891)	-	(856)	(1,027)
PF recurring audit costs	11	-	(181)	(27)	-
PF rent adjustment	12	(77)	(77)	(30)	(17)
Challenges to sell side QofE adjustments		(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBITDA		47,385	45,122	49,494	51,249
Potential adjustments		(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA		44,551	42,776	44,654	45,432
Pro forma adjustments		1,010	929	1,059	1,059
Pro forma adjusted EBITDA		45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Challenges to sell-side quality of earnings adjustments (continued)

- Non-cash incentive compensation (LTIP):** The sell-side add-back for non-cash incentive compensation includes both (i) share-based payment expenses associated with stock options plans in place in certain operating companies; and (ii) accruals for amounts owing to four producers under a long-term incentive plan. The component of the sell-side add-back relating to the producer LTIP is reflected as an adjustment opposite, amounting to \$1.1 million in FY24. We understand the plan is based on commission revenue growth achieved by participating producers between 2023 and 2029, and will be payable in June 2029.

Replacement considerations for stock-based compensation are discussed in potential adjustment #20.
- Transaction costs:** Comprises M&A staff salaries and travel expenses included in Management's add-back for transaction expenses in FY22 with such costs being considered recurring given the Company's expectation of continued growth through M&A. Refer to potential adjustment #18 or further discussion on transaction expenses.
- CPC revenue true-up:** The sell-side due diligence adjustment for out-of-period true-ups of CPC income phases the impact on a straight-line basis over the relevant fiscal year. We present an alternative approach whereby CPC income true-ups are distributed monthly based on the quantum of commissions and benefits revenue recognized in the month relative to total net commissions and benefits revenue reported in the year. Note this adjustment has a nil impact on fiscal years since all true-ups occur in-year but results in an upward adjustment of \$0.5 million in TTM Oct-24. See adjustment #25 for discussion on a further true-up of CPC income in FY24.
- Override:** Comprises the reversal of the sell-side quality of earnings adjustment related to override income since the entire amount of override revenue is considered to be non-recurring. Refer to potential adjustment #18 for further discussion.

Quality of earnings – challenges to sell-side adjustments (4/5)

Quality of earnings					
\$'000		FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA		49,835	49,163	55,157	56,757
Challenges to sell-side QofE adjustments					
Extraordinary and non-recurring items	1	(732)	(2,205)	(2,145)	(1,973)
Non-recurring salaries and benefits	2	(830)	(1,178)	(1,141)	(1,153)
Shareholders expenses	3	-	(179)	(141)	(133)
Non-cash incentive compensation (LTIP)	4	-	(220)	(916)	(1,055)
Transaction costs	5	(276)	-	-	-
CPC revenue true-up	6	0	(0)	530	(0)
Override	7	-	-	(750)	-
Accounting corrections	8	356	0	(76)	-
Montreal office project	9	-	-	(113)	(150)
Adjusted EBITDA - Pre-acquisition	10	(891)	-	(856)	(1,027)
PF recurring audit costs	11	-	(181)	(27)	-
PF rent adjustment	12	(77)	(77)	(30)	(17)
Challenges to sell side QofE adjustments		(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBITDA		47,385	45,122	49,494	51,249
Potential adjustments		(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA		44,551	42,776	44,654	45,432
Pro forma adjustments		1,010	929	1,059	1,059
Pro forma adjusted EBITDA		45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Challenges to sell-side quality of earnings adjustments (continued)

8. Accounting corrections: Includes two components:

- reversal of a sell-side adjustment for other revenue in FY22 which is double-counted in the sell-side quality of earnings analysis (FY22: \$0.4 million); and
- exclusion of an adjustment to EBITDA in TTM Oct-24 related to intercompany expense eliminations which is not accurate. See adjustment #23 for further refinement to intercompany eliminations.

9. Montreal office project: The sell-side due diligence report includes an add-back for costs attributable to a new office in Montreal which opened in February 2024 and is being used to drive growth in the region. A reversal of this sell-side adjustment is proposed since the opening of this office is considered to relate to normal business development activities given the Company contemplates growth through organic initiatives (which this office opening could represent).

10. Adjusted EBITDA – Pre-acquisition: Refines the sell-side pro forma adjustment for pre-acquisition earnings to exclude a share of historical EBITDA related to a recent minority investment made in CLI. The sell-side quality of earnings includes EBITDA contribution of \$1.0 million in FY24 associated with this acquisition which we understand represents a 14% share of the historical EBITDA generated by the business, consistent with the % ownership purchased by the Company in its recent investment. The Company's accounting policies specify that minority interests are initially recognized at cost, with subsequent returns on investment only recognized to the extent they are received or receivable. Our assessment of the context of the Company's recent investment in CLI indicates that there are no guarantees to receipt of income generated by the business in its position as a minority investor. Additionally, in FY22 sell-side adjustments include pre-acquisition CPCs related to three acquired entities (GTI, ASI and Alliance) which exceed post-acquisition performance in FY22. We propose normalizing pre-acquisition months in FY22 to eliminate the impact of potential out-of-period CPC true-ups in periods preceding the Company's acquisition. The impact of this adjustment is \$0.8 million in FY22.

Separately, this challenge includes \$0.1 million R&D tax credit income recognized in Alliance in the period prior to its acquisition in FY22 which is not assumed to be part of recurring income.

Quality of earnings – challenges to sell-side adjustments (5/5)

Quality of earnings					
\$'000		FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA		49,835	49,163	55,157	56,757
Challenges to sell-side QofE adjustments					
Extraordinary and non-recurring items	1	(732)	(2,205)	(2,145)	(1,973)
Non-recurring salaries and benefits	2	(830)	(1,178)	(1,141)	(1,153)
Shareholders expenses	3	-	(179)	(141)	(133)
Non-cash incentive compensation (LTIP)	4	-	(220)	(916)	(1,055)
Transaction costs	5	(276)	-	-	-
CPC revenue true-up	6	0	(0)	530	(0)
Override	7	-	-	(750)	-
Accounting corrections	8	356	0	(76)	-
Montreal office project	9	-	-	(113)	(150)
Adjusted EBITDA - Pre-acquisition	10	(891)	-	(856)	(1,027)
PF recurring audit costs	11	-	(181)	(27)	-
PF rent adjustment	12	(77)	(77)	(30)	(17)
Challenges to sell side QofE adjustments		(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA		47,385	45,122	49,494	51,249
Potential adjustments		(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA		44,551	42,776	44,654	45,432
Pro forma adjustments		1,010	929	1,059	1,059
Pro forma adjusted EBITDA		45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Challenges to sell-side quality of earnings adjustments (continued)

- 11. PF recurring audit costs:** The sell-side due diligence report adds-back one-off accounting and audit costs related to acquisitions, PPA assistance, and the establishment of stock options plans (FY23: \$1.1 million) which is reflected in adjusted EBITDA. The sell-side due diligence report further reduces the audit costs in FY23 and FY24 to align with the base fee quote received for the FY24 audit of \$0.4 million. We propose reversing this adjustment for FY23 as the quote provided is relevant to the FY24 audit exclusively.
- 12. PF rent adjustments:** The sell-side due diligence report presented a pro forma adjustment for rent expenses in ASI arising from the consolidation of office locations with Soplex. We propose a minor refinement to this adjustment since we note the monthly rent cost in the Soplex office to exhibited an increase immediately after the relocation of ASI employees thereby offsetting the savings realized from vacating the previous ASI location. The revised adjustment reflects the net cost saving arising from the combination of the ASI and Soplex office locations.

Quality of earnings – potential adjustments (1/4)

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side QofE adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA	47,385	45,122	49,494	51,249
Potential adjustments				
Other interest income	13	(4)	(18)	(170)
CBN CPC income	14	-	(72)	(13)
Capitalized labor costs	15	-	-	(110)
Reconciliation to audited financial statements	16	(354)	-	-
Override income	17	-	(792)	(3,060)
Transaction costs	18	(1,168)	(1,168)	(1,168)
Share based payment replacement	19	n.q.	n.q.	n.q.
Unadjusted audit differences	20	-	119	-
Intercompany elimination reconciliation	21	-	(111)	407
Other non-recurring revenue	22	(195)	(155)	(94)
CPC revenue forecast	23	-	-	241
Synex Re Ltd.	24	-	-	(193)
Internal replacement costs	25	(1,113)	(484)	(70)
GTI salaries true-up	26	-	-	(384)
Out of period benefits bonus	27	-	335	(225)
Potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA	44,551	42,776	44,654	45,432
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Potential adjustments

- 13. Other interest income:** The sell-side quality of earnings schedule includes an adjustment to eliminate interest income earned on operating cash balances held in subsidiaries from reported EBITDA. A further adjustment is proposed to exclude interest income recorded in holding companies or certain other operating companies that were omitted in the sell-side workings.
- 14. CBN CPC income:** CPC income recognized in FY23 included a \$72,000 catch-up payment from Aviva which related to a legacy error in the computation of bonus commissions. This CPC revenue is considered to be out-of-period income in FY23.
- 15. Capitalized labor costs:** Management indicated that certain internal IT staff costs were capitalized during FY24 relating to the development of a new broker management system in GTI. We present the total \$0.1 million internal labor costs capitalized as a quality of earnings adjustment in FY24 given it represents a recurring cash cost in the business.
- 16. Reconciliation to audited financial statements:** Relates to a \$0.4 million variance in reported EBITDA for FY22 as presented in the sell-side due diligence report compared to the audited financial statements for the same period. Management was not able to fully explain the nature of the difference identified. See Appendix 1 for a reconciliation to the audited financial statements.
- 17. Override income:** The Company recognized override income in FY23 and FY24 arising on the transfer of certain client policy portfolios between carriers, equivalent to 15% to 25% of transferred premiums. Overrides are received upfront and recognized in revenue over the transfer period. We propose excluding override revenue from earnings in Historical Periods due to its non-recurring nature as the potential for sustained portfolio transfers may be limited over the long-term.

Quality of earnings – potential adjustments (2/4)

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side QofE adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA	47,385	45,122	49,494	51,249
Potential adjustments				
Other interest income	13	(4)	(18)	(172)
CBN CPC income	14	-	(72)	-
Capitalized labor costs	15	-	-	(110)
Reconciliation to audited financial statements	16	(354)	-	-
Override income	17	-	(792)	(3,060)
Transaction costs	18	(1,168)	(1,168)	(1,168)
Share based payment replacement	19	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Unadjusted audit differences	20	-	119	-
Intercompany elimination reconciliation	21	-	(111)	407
Other non-recurring revenue	22	(195)	(155)	(94)
CPC revenue forecast	23	-	-	241
Synex Re Ltd.	24	-	-	(193)
Internal replacement costs	25	(1,113)	(484)	(70)
GTI salaries true-up	26	-	-	(384)
Out of period benefits bonus	27	-	335	(225)
Potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA	44,551	42,776	44,654	45,432
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Potential adjustments (continued)

- 18. Transaction costs:** Since the Company's strategy is focused on growth through M&A, you may wish to consider overlaying a recurring quantum of transaction costs in each year as the business pursues new acquisition opportunities. Our analysis indicates that the Company expended \$3.5 million in third party transaction costs on the 14 acquisitions completed in the Historical Period, averaging \$1.2 million per annum. Assuming that the Company will continue pursuing growth via acquisition at a rate similar to recent years, a recurring cash cost to the business to support M&A could be incurred, which forms the basis to the proposed adjustment.
- 19. Share-based payment replacement:** The replacement of the Company's existing share-based compensation plans with an alternative arrangement post-acquisition may warrant consideration in the assessment of go forward EBITDA. We understand there were four individual stock options plans in operation during the Historical Period, with a total of 16 participants. Share options issued in Deslauriers & Associates and Verrier were fully exercised during FY24 following the completion of a corporate reorganization, resulting in the closure of options plans. There are two plans which remain active as at Dec-24.
- 20. Unadjusted audit differences:** We present the impact of unadjusted audit differences in FY23 identified in the management letter, mainly relating to revenue and expense reconciliation items arising from audit testing. The FY24 audit is currently ongoing, with draft financial statements expected to be available in April 2025. While we have not had any interactions with the Company's auditors as part of our work, Management has asserted that no material matters have been raised by the audit team to date. Any adjustments impacting EBITDA which arise from the FY24 audit should be considered in the analysis of adjusted EBITDA to the extent they are not already addressed as part of quality of earnings.

Quality of earnings – potential adjustments (3/4)

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side QofE adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA	47,385	45,122	49,494	51,249
Potential adjustments				
Other interest income	13	(4)	(18)	(172)
CBN CPC income	14	-	(72)	(13)
Capitalized labor costs	15	-	-	(110)
Reconciliation to audited financial statements	16	(354)	-	-
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Share based payment replacement	19	n.q.	n.q.	n.q.
Unadjusted audit differences	20	-	119	-
Intercompany elimination reconciliation	21	-	(111)	407
Other non-recurring revenue	22	(195)	(155)	(94)
CPC revenue forecast	23	-	-	241
Synex Re Ltd.	24	-	-	(193)
Internal replacement costs	25	(1,113)	(484)	(70)
GTI salaries true-up	26	-	-	(384)
Out of period benefits bonus	27	-	335	(225)
Potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA	44,551	42,776	44,654	45,432
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Potential adjustments (continued)

- 21. Intercompany elimination reconciliation:** We have noted an error in the Company's consolidation elimination for intercompany expenses charged by Synex Tech, an IT company, to other entities in the group. The adjustment opposite restates the intercompany expense elimination in FY23, TTM Oct-24, and FY24 through full reconciliation of the intercompany income and corresponding intercompany expense in each period.
- 22. Other non-recurring revenue:** Other revenue recognized in operating subsidiaries includes certain miscellaneous income items which exhibit significant monthly variability and may not relate to core brokerage or ancillary activities. The adjustment also includes income of \$0.2 million reported in FY22 arising from the disposal of a life insurance book of business in FY22 which is considered to be a one-off item.
- 23. CPC revenue true-up:** Management's latest forecast for CPC income relating to risk year 2024 indicates potential \$0.3 million upside to the amount reflected in pro forma adjusted EBITDA for FY24 resulting from updates to the calculations driving CPC income by carrier. Management expressed a high degree of confidence in receiving the full amount of CPC income per the latest forecast, and represented that in excess of 85% of the total FY24 forecast amount was either collected from, or confirmed with carriers, as at the date of this report. Notwithstanding, approx. \$2.9 million of CPC revenue recognized in FY24 remains subject to carrier confirmation.
- 24. Synex Re Ltd:** The Company incorporated a captive reinsurance entity in Barbados in April 2024 for the purposes of sharing in the returns on certain risks underwritten by its MGA operations with its primary insurance partner. The revenue and costs associated with this entity are not included in the reported EBITDA of the Company or presented as a separate adjustment in the sell-side quality of earnings analysis. We understand the reinsurance entity is part of the proposed transaction perimeter and, as a result, we have presented an adjustment for earnings reported by the business in the period subsequent to its incorporation.

Quality of earnings – potential adjustments (4/4)

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side QofE adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA	47,385	45,122	49,494	51,249
Potential adjustments				
Other interest income	13	(4)	(18)	(172)
CBN CPC income	14	-	(72)	(13)
Capitalized labor costs	15	-	-	(110)
Reconciliation to audited financial statements	16	(354)	-	-
Override income	17	-	(792)	(3,060)
Transaction costs	18	(1,168)	(1,168)	(1,168)
Share based payment replacement	19	n.q.	n.q.	n.q.
Unadjusted audit differences	20	-	119	-
Intercompany elimination reconciliation	21	-	(111)	407
Other non-recurring revenue	22	(195)	(155)	(94)
CPC revenue forecast	23	-	-	241
Synex Re Ltd.	24	-	-	(193)
Internal replacement costs	25	(1,113)	(484)	(70)
GTI salaries true-up	26	-	-	(384)
Out of period benefits bonus	27	-	335	(225)
Potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA	44,551	42,776	44,654	45,432
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490

Source: Management provided information, KPMG analysis

Potential adjustments (continued)

- 25. Internal replacement costs:** The sell-side quality of earnings adjustment for non-recurring professional fees (adjustment #1) includes certain third party accounting and IT costs for services which have recently been replaced with internal staff resource (for example, PPA work, stock options accounting, and general IT support). Headcount in the accounting / finance team increased from four FTEs in FY22 to eight FTEs in FY24, while a number of more experienced hires were made into the IT department over the same period. An adjustment is proposed to reflect the cost base of current accounting and IT departments through the Historical Period to capture the internal cost impact of fulfilling accounting and IT responsibilities historically supported by third party providers.
- 26. GTI salaries true-up:** We understand a payroll expense true-up was recognized in December 2024 in GTI Broker Group inc. which related to the full year. The adjustment quantified opposite re-allocates the true-up to the months it relates to in FY24 on a straight-line basis. This adjustment does not impact FY24 EBITDA given the expense true-up related to the full period.
- 27. Out-of-period benefits bonus:** The Company recognized \$0.2 million of benefits bonus income from Canada Life in FY24 that related to FY23. This adjustment re-allocates the bonus income to the appropriate period. On an adjusted basis, the Canada Life bonus income is consistent at \$0.5 million per annum, aligned to overall trends in base group benefits commissions.

In addition, the Company released a \$0.1 million accrual in FY24 related to commissions shared with producers which were over-estimated in the prior year. The adjustment opposite also re-allocates this accrual reversal to FY23.

Quality of earnings – pro forma adjustments

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side QofE adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA	47,385	45,122	49,494	51,249
Potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA	44,551	42,776	44,654	45,432
Pro forma adjustments				
BMB Assurances	i.	957	876	1,006
Daniel Belley	ii.	52	52	52
New completed acquisitions	28	1,010	929	1,059
Pro forma adjustments		1,010	929	1,059
Pro forma adjusted EBITDA		45,560	43,705	45,713
				46,490

Source: Management provided information, KPMG analysis

Pro forma adjustments

28. New completed acquisitions: For consistency with sell-side pro forma adjustment #17, pre-acquisition historical EBITDA associated with completed business acquisitions in the period subsequent to December 2024 is presented on a pro forma basis. We understand there were two new acquisitions closed in January 2025 and February 2025, summarized below:

- i. **BMB Assurances:** P&C business acquired in February 2025 located in Quebec. The pre-acquisition EBITDA associated with BMB Assurances is based on historical financial information presented in a third party financial due diligence report commissioned by the Company. BMB Assurances fiscal year end is October 31. The pro forma adjustment for pre-acquisition earnings in BMB Assurances reflects a combination of the following:
 - Jan-22 to Oct-23: Reported annual figures allocated on a straight-line basis over each fiscal period.
 - Nov-23 to Oct-24: Adjusted annual earnings allocated evenly over the period. The adjustments applied to reported EBITDA primarily relate to the normalization of shareholder costs, totaling \$0.1 million in TTM Oct-24.
 - Nov-24 and Dec-24: Extrapolation of average monthly adjusted EBITDA quantified for the Nov-23-Oct-24 period.
- ii. **Daniel Belley:** The Company acquired a book of business in Jan-25 for a purchase price of \$0.1 million. The purchase agreement indicates that the producer generates annual commissions of approx. \$0.1 million which are included as a pro forma adjustment, net of assumed 30% commission paid on income earned.

The pro forma earnings impact associated with recently completed acquisitions does not include any potential CPC upside arising from the migration of acquired volume to higher grids with carriers.

Quality of earnings – other considerations (1/3)

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side QofE adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA	47,385	45,122	49,494	51,249
Potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA	44,551	42,776	44,654	45,432
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490
Other considerations				
Replacement cost for shareholders	A	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Integration costs	B	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Cancellation provision	C	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
New producer compensation	D	-	(354)	(883)
Potential acquisitions	E	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Departures and eliminated positions	F	(499)	(799)	(714)
Group benefits revenue true up	G	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Group benefits - new contracts	H	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>

Source: Management provided information, KPMG analysis

Other considerations

- A. Replacement costs for shareholders:** Management has proposed an add-back of costs for former shareholders in certain operating companies who serve as ambassadors in the business with no replacement costs considered. These individuals may serve in a business development or relationship manager capacity presently, although the potential earnings impact of their departure does not appear to be specifically considered in the sell-side due diligence report. Additionally, an adjustment is proposed for current shareholders with active roles in the Company offset by replacement costs which are notably lower than incumbent remuneration. There may be incremental costs incurred in future periods to replace the roles of both current shareholders and former shareholders who contribute to business activities.
- B. Integration costs:** Given the Company regularly engages in M&A activity, there may be a level of recurring integration and migration costs required to facilitate absorption of acquired businesses into the wider group, including broker management, financial, and compliance systems.
- C. Cancellation provision:** The Company does not recognize a provision for commission clawback on policies which are cancelled within term or prior to policies taking effect. Management indicated that this amount is not significant on an annual basis and does not vary materially year-over-year (approximately \$3 million to \$4 million annually in premiums through the Historical Period).
- D. New producer compensation:** The sell-side quality of earnings analysis presents an add-back for the excess of salary paid over revenue generated for new producers in the business. Although these costs are not expected to arise once new producers reach their run rate production levels, it could be argued that the business will always have a cohort of producers in the early stages of their career development who are required to be subsidized by the Company before reaching break-even. Management indicated the typical ramp-up period for new producers is one year to be neutral and two years to be cash positive. See Appendix 3 for further details on the net producer costs included in the sell-side adjustment.

Quality of earnings – other considerations (2/3)

Quality of earnings					
\$'000		FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA		49,835	49,163	55,157	56,757
Challenges to sell side QofE adjustments		(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA		47,385	45,122	49,494	51,249
Potential adjustments		(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA		44,551	42,776	44,654	45,432
Pro forma adjustments		1,010	929	1,059	1,059
Pro forma adjusted EBITDA		45,560	43,705	45,713	46,490
Other considerations					
Replacement cost for shareholders	A	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Integration costs	B	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Cancellation provision	C	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
New producer compensation	D	-	(354)	(883)	(888)
Potential acquisitions	E	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Departures and eliminated positions	F	(499)	(799)	(714)	(646)
Group benefits revenue true up	G	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Group benefits - new contracts	H	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>

Source: Management provided information, KPMG analysis

Other considerations (continued)

- E. Potential acquisitions:** We understand the Company is currently in negotiations for three other brokerage businesses, with signed LOI in place for each. The incremental EBITDA associated with these acquisitions should be considered in the context of your financial projections, with high level information related to these target companies set out below:

Potential acquisitions						
\$'000	Type	Location	Stage	Anticipated close	Revenue	EBITDA
Target 5	P&C	Ontario	Exclusivity	Mar-25	11,791	5,384
Target 4	P&C	BC	Exclusivity	Jun-25	79,500	32,120
Target 2	P&C	Quebec	<i>n.a.</i>	Dec-25	2,527	797

- F. Departures and eliminated positions:** The sell-side adjustments remove salary costs related to 18 individuals who are deemed redundant in the business and will not be required on a go-forward basis. We understand 10 of the 18 individuals have already departed and have not required subsequent replacement; although there may be a future cost burden for re-hiring in these positions which is not compensated in adjusted EBITDA. For illustrative purposes we have included 35% of the costs of these individuals as an other earnings consideration. Since these individuals will either depart on close or have departed in recent periods, there is an insufficient track record to indicate these positions will not require replacement.
- G. Group benefits revenue true up:** We understand group benefits revenue is periodically subject to out-of-period true-ups at the completion of policy terms. Such potential adjustment has typically been, in our experience where sufficient data has been provided, not significant. However, in the absence of data, a complete analysis thereof cannot be completed.

Quality of earnings – other considerations (3/3)

Quality of earnings				
\$'000	FY22	FY23	TTM Oct-24	FY24
Sell-side PF adjusted EBITDA	49,835	49,163	55,157	56,757
Challenges to sell side QofE adjustments	(2,450)	(4,040)	(5,664)	(5,508)
Challenges adjusted EBTIDA	47,385	45,122	49,494	51,249
Potential adjustments	(2,834)	(2,346)	(4,840)	(5,817)
Adjusted EBITDA	44,551	42,776	44,654	45,432
Pro forma adjustments	1,010	929	1,059	1,059
Pro forma adjusted EBITDA	45,560	43,705	45,713	46,490
Other considerations				
Replacement cost for shareholders	A	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Integration costs	B	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Cancellation provision	C	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
New producer compensation	D	-	(354)	(883)
Potential acquisitions	E	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Departures and eliminated positions	F	(499)	(799)	(714)
Group benefits revenue true up	G	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
Group benefits - new contracts	H	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>

Source: Management provided information, KPMG analysis

Other considerations (continued)

H. Group benefits new contracts: Given the Company recognizes all commission income arising on new group benefits policies upfront (despite a holdback component), there is a risk that revenue in certain years includes a greater proportion of contracts with terms greater than 12 months which may be distortive of underlying base commission trends. Management has indicated that group benefit contracts entered into have typically been 12 months in term. However, Management has not been able to provide a sales database relating to group benefit activities to validate this assertion.

Adjusted income statement (1/4)

The adjustments identified as part of our quality of earnings analysis are allocated to their relevant income statement captions in the schedule below. This schedule bridges the sell-side pro forma adjusted income statement to our revised view of pro forma adjusted EBITDA of \$46.5 million in FY24, with the following pages setting out the key drivers of differences between sell-side adjusted income statement captions compared to the pro forma adjusted view arising from our work.

Adjusted income statement												
\$'000	Sell side Pro forma adjusted				Adjustments				Pro forma adjusted			
	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24
Net commission revenue	90,027	97,652	107,626	109,277	1,508	2,575	(18)	(592)	91,535	100,227	107,609	108,685
Contingent commissions	19,195	17,259	18,700	19,507	(710)	320	508	(71)	18,486	17,579	19,208	19,436
Override	-	792	3,810	4,074	-	(792)	(3,810)	(4,074)	-	-	-	-
Other revenue	373	874	1,298	1,319	360	(91)	(254)	(237)	734	782	1,044	1,082
Benefits revenue	16,425	16,894	17,308	16,916	-	-	-	-	16,425	16,894	17,308	16,916
Revenue	126,020	133,470	148,742	151,092	1,159	2,012	(3,574)	(4,973)	127,179	135,482	145,168	146,120
Commissions	(13,532)	(19,002)	(23,294)	(23,090)	-	-	1,645	2,001	(13,532)	(19,002)	(21,648)	(21,089)
Salaries and benefits	(25,661)	(16,301)	(16,509)	(16,877)	(2,126)	(1,714)	(2,624)	(2,357)	(27,786)	(18,015)	(19,133)	(19,234)
Sales salaries	(10,078)	(12,285)	(12,018)	(12,266)	-	-	-	-	(10,078)	(12,285)	(12,018)	(12,266)
Administrative salaries	(9,540)	(12,333)	(14,694)	(15,523)	-	-	-	-	(9,540)	(12,333)	(14,694)	(15,523)
Management salaries	(579)	(6,133)	(6,907)	(6,799)	(805)	(1,061)	(1,072)	(1,102)	(1,384)	(7,194)	(7,980)	(7,901)
Salaries, commissions and benefits	(59,391)	(66,054)	(73,422)	(74,556)	(2,930)	(2,776)	(2,051)	(1,458)	(62,321)	(68,829)	(75,474)	(76,013)
Selling expenses	(3,796)	(3,883)	(4,252)	(4,318)	(692)	(1,365)	(1,063)	(1,007)	(4,488)	(5,248)	(5,315)	(5,325)
General and administrative expense	(12,834)	(14,114)	(15,778)	(15,357)	(1,976)	(3,586)	(2,889)	(2,934)	(14,810)	(17,700)	(18,667)	(18,291)
Financial expenses	0	0	0	-	-	-	-	-	0	0	0	-
Other expenses	(165)	(257)	(134)	(104)	165	257	134	104	0	(0)	(0)	(0)
EBITDA	49,835	49,163	55,157	56,757	(4,274)	(5,458)	(9,445)	(10,266)	45,560	43,705	45,713	46,490
KPIs												
EBITDA margin	39.5%	36.8%	37.1%	37.6%					35.8%	32.3%	31.5%	31.8%
Salaries as a % of revenue	(47.1%)	(49.5%)	(49.4%)	(49.3%)					(49.0%)	(50.8%)	(52.0%)	(52.0%)

Source: Management provided information, KPMG analysis

Overview

Revenue

- **Net commission revenue:** The variance between sell-side and pro forma adjusted view is primarily driven by the following factors:
 - inclusion of BMB Assurances commissions in historical periods on a pro forma basis (FY24: \$2.5 million); and
 - the exclusion of the sell-side adjustment for a share of revenue in CLI (FY24: \$3.3 million).
- **Contingent commissions:** Similar to net commissions revenue, the variance is driven by pre-acquisition BMB Assurances CPC income (\$0.3 million in each period), in addition to normalizing for out-of-period true-ups in all years.
- **Override:** Override income is eliminated in pro forma adjusted view due to its non-recurring nature.
- **Benefits revenue:** Due to limited information availability for benefits production, there is no quantifiable adjustment to sell-side adjusted benefits revenue.

Salaries, commissions and benefits

- **Commissions:** Increase driven by exclusion of CLI commissions expense (TTM Oct-24: \$1.9 million; FY24: \$2.4 million), slightly offset by inclusion of commission expense in the Synex Re entity (TTM Oct-24 and FY24: \$0.2 million).

Adjusted income statement (2/4)

Adjusted income statement												
\$'000	Sell side Pro forma adjusted				Adjustments				Pro forma adjusted			
	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24
Net commission revenue	90,027	97,652	107,626	109,277	1,508	2,575	(18)	(592)	91,535	100,227	107,609	108,685
Contingent commissions	19,195	17,259	18,700	19,507	(710)	320	508	(71)	18,486	17,579	19,208	19,436
Override	-	792	3,810	4,074	-	(792)	(3,810)	(4,074)	-	-	-	-
Other revenue	373	874	1,298	1,319	360	(91)	(254)	(237)	734	782	1,044	1,082
Benefits revenue	16,425	16,894	17,308	16,916	-	-	-	-	16,425	16,894	17,308	16,916
Revenue	126,020	133,470	148,742	151,092	1,159	2,012	(3,574)	(4,973)	127,179	135,482	145,168	146,120
Commissions	(13,532)	(19,002)	(23,294)	(23,090)	-	-	1,645	2,001	(13,532)	(19,002)	(21,648)	(21,089)
Salaries and benefits	(25,661)	(16,301)	(16,509)	(16,877)	(2,126)	(1,714)	(2,624)	(2,357)	(27,786)	(18,015)	(19,133)	(19,234)
Sales salaries	(10,078)	(12,285)	(12,018)	(12,266)	-	-	-	-	(10,078)	(12,285)	(12,018)	(12,266)
Administrative salaries	(9,540)	(12,333)	(14,694)	(15,523)	-	-	-	-	(9,540)	(12,333)	(14,694)	(15,523)
Management salaries	(579)	(6,133)	(6,907)	(6,799)	(805)	(1,061)	(1,072)	(1,102)	(1,384)	(7,194)	(7,980)	(7,901)
Salaries, commissions and benefits	(59,391)	(66,054)	(73,422)	(74,556)	(2,930)	(2,776)	(2,051)	(1,458)	(62,321)	(68,829)	(75,474)	(76,013)
Selling expenses	(3,796)	(3,883)	(4,252)	(4,318)	(692)	(1,365)	(1,063)	(1,007)	(4,488)	(5,248)	(5,315)	(5,325)
General and administrative expense	(12,834)	(14,114)	(15,778)	(15,357)	(1,976)	(3,586)	(2,889)	(2,934)	(14,810)	(17,700)	(18,667)	(18,291)
Financial expenses	0	0	0	-	-	-	-	-	0	0	0	-
Other expenses	(165)	(257)	(134)	(104)	165	257	134	104	0	(0)	(0)	(0)
EBITDA	49,835	49,163	55,157	56,757	(4,274)	(5,458)	(9,445)	(10,266)	45,560	43,705	45,713	46,490
KPIs												
EBITDA margin	39.5%	36.8%	37.1%	37.6%					35.8%	32.3%	31.5%	31.8%
Salaries as a % of revenue	(47.1%)	(49.5%)	(49.4%)	(49.3%)					(49.0%)	(50.8%)	(52.0%)	(52.0%)

Source: Management provided information, KPMG analysis

Overview (continued)

Salaries, commissions and benefits (continued)

- **Salaries and benefits:** Increase in salaries and benefits is mainly attributed to the following adjustments:
 - pre-acquisition salaries expense in BMB Assurances on a pro forma basis, ranging between \$0.9 million and \$1.3 million p.a.;
 - internal replacement costs in the IT and accounting department (FY22: \$1.1 million; FY23: \$0.5 million; TTM Oct-24 and FY24: \$0.1 million);
 - historical expense associated with the long-term incentive plan (FY24: \$1.1 million);
 - capitalized labor costs relating to internal staff (FY24: \$0.1 million);
 - unadjusted audit difference in payroll costs (FY23: \$0.1 million); and
 - GTI salaries true-up recorded in Dec-24 (TTM Oct-24: \$0.4 million).
- **Management salaries:** Increase is primarily driven by the inclusion of M&A department salaries and the portion of CVO salary allocated to M&A activity which was adjusted out of earnings in the sell-side due diligence report.

Adjusted income statement (3/4)

Adjusted income statement												
\$'000	Sell side Pro forma adjusted				Adjustments				Pro forma adjusted			
	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24
Revenue	126,020	133,470	148,742	151,092	1,159	2,012	(3,574)	(4,973)	127,179	135,482	145,168	146,120
Salaries, commissions and benefits	(59,391)	(66,054)	(73,422)	(74,556)	(2,930)	(2,776)	(2,051)	(1,458)	(62,321)	(68,829)	(75,474)	(76,013)
Marketing	(1,012)	(919)	(835)	(831)	-	-	-	-	(1,012)	(919)	(835)	(831)
Advertising and entertainment	(1,124)	(961)	(1,183)	(1,300)	(188)	(764)	(768)	(717)	(1,313)	(1,725)	(1,951)	(2,017)
Travel	(1,258)	(1,545)	(1,715)	(1,690)	(419)	(435)	(257)	(251)	(1,677)	(1,980)	(1,972)	(1,941)
Licenses	(374)	(459)	(518)	(497)	(8)	(11)	(10)	(10)	(383)	(469)	(528)	(508)
General	(27)	-	-	-	(76)	(155)	(29)	(29)	(103)	(155)	(29)	(29)
Selling expenses	(3,796)	(3,883)	(4,252)	(4,318)	(692)	(1,365)	(1,063)	(1,007)	(4,488)	(5,248)	(5,315)	(5,325)
Rent	(3,871)	(4,707)	(4,993)	(5,033)	(207)	(236)	(315)	(340)	(4,078)	(4,943)	(5,309)	(5,373)
Supplies and office expenses	(1,476)	(1,349)	(1,439)	(1,268)	(423)	(93)	(122)	(94)	(1,898)	(1,442)	(1,561)	(1,362)
IT costs	(3,551)	(4,472)	(5,318)	(5,419)	(210)	(807)	(263)	(244)	(3,760)	(5,279)	(5,581)	(5,663)
Banking fees	(362)	(277)	(412)	(262)	(2)	(5)	(6)	(6)	(364)	(281)	(418)	(269)
Telecommunications	(394)	(478)	(612)	(605)	(29)	(27)	(17)	(17)	(424)	(505)	(629)	(622)
Insurance	(1,275)	(1,626)	(1,711)	(1,691)	(67)	(71)	(70)	(70)	(1,342)	(1,698)	(1,782)	(1,761)
Professional services	(1,587)	(812)	(969)	(782)	(869)	(2,219)	(1,887)	(1,934)	(2,456)	(3,031)	(2,856)	(2,716)
Penalties	0	-	-	-	(161)	(111)	(201)	(221)	(161)	(111)	(201)	(221)
Bad debts	(117)	(117)	(117)	(117)	(1)	(3)	(3)	(3)	(118)	(120)	(120)	(120)
Training	(201)	(277)	(206)	(179)	(8)	(14)	(6)	(6)	(209)	(290)	(212)	(185)
Stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-
General and administrative expense	(12,834)	(14,114)	(15,778)	(15,357)	(1,976)	(3,586)	(2,889)	(2,934)	(14,810)	(17,700)	(18,667)	(18,291)
Financial expenses	0	0	0	-	-	-	-	-	0	0	0	-
Other expenses	(165)	(257)	(134)	(104)	165	257	134	104	0	(0)	(0)	(0)
EBITDA	49,835	49,163	55,157	56,757	(4,274)	(5,458)	(9,445)	(10,266)	45,560	43,705	45,713	46,490
KPIs												
EBITDA margin	39.5%	36.8%	37.1%	37.6%					35.8%	32.3%	31.5%	31.8%
Salaries as a % of revenue	(47.1%)	(49.5%)	(49.4%)	(49.3%)					(49.0%)	(50.8%)	(52.0%)	(52.0%)

Source: Management provided information, KPMG analysis

Overview (continued)

Selling expenses

- **Marketing:** No adjustment proposed.
- **Advertising and entertainment:** Adjustments resulting in increase primarily relate to the BMB Assurances acquisition (FY22 and FY23: \$0.2 million) and reversal of sell-side adjustment for non-recurring advertising and entertainment due to their assumed operational nature (TTM Oct-24 and FY24: \$0.7 million).
- **Travel:** Travel increase can be attributed to reversal of the sell-side adjustment for M&A department costs and the portion of CVO travel costs allocated to M&A. Additionally, this cost increase include the reversal of exit shareholder expenses and travel costs incurred in BMB Assurances in pre-acquisition periods.
- **Licenses and general:** Adjustments increasing licenses and general relates to the inclusion of BMB Assurances licenses and general costs historically on a pro forma basis.

General and administrative expenses

- **Rent:** Rent increase relates to reversal of Montreal office project adjustment and inclusion of BMB Assurances rent expense historically on a pro forma basis.
- **Supplies and office expenses:** Include BMB Assurances costs historically on a pro forma basis.

Adjusted income statement (4/4)

Adjusted income statement												
\$'000	Sell side Pro forma adjusted				Adjustments				Pro forma adjusted			
	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24
Revenue	126,020	133,470	148,742	151,092	1,159	2,012	(3,574)	(4,973)	127,179	135,482	145,168	146,120
Salaries, commissions and benefits	(59,391)	(66,054)	(73,422)	(74,556)	(2,930)	(2,776)	(2,051)	(1,458)	(62,321)	(68,829)	(75,474)	(76,013)
Marketing	(1,012)	(919)	(835)	(831)	-	-	-	-	(1,012)	(919)	(835)	(831)
Advertising and entertainment	(1,124)	(961)	(1,183)	(1,300)	(188)	(764)	(768)	(717)	(1,313)	(1,725)	(1,951)	(2,017)
Travel	(1,258)	(1,545)	(1,715)	(1,690)	(419)	(435)	(257)	(251)	(1,677)	(1,980)	(1,972)	(1,941)
Licenses	(374)	(459)	(518)	(497)	(8)	(11)	(10)	(10)	(383)	(469)	(528)	(508)
General	(27)	-	-	-	(76)	(155)	(29)	(29)	(103)	(155)	(29)	(29)
Selling expenses	(3,796)	(3,883)	(4,252)	(4,318)	(692)	(1,365)	(1,063)	(1,007)	(4,488)	(5,248)	(5,315)	(5,325)
Rent	(3,871)	(4,707)	(4,993)	(5,033)	(207)	(236)	(315)	(340)	(4,078)	(4,943)	(5,309)	(5,373)
Supplies and office expenses	(1,476)	(1,349)	(1,439)	(1,268)	(423)	(93)	(122)	(94)	(1,898)	(1,442)	(1,561)	(1,362)
IT costs	(3,551)	(4,472)	(5,318)	(5,419)	(210)	(807)	(263)	(244)	(3,760)	(5,279)	(5,581)	(5,663)
Banking fees	(362)	(277)	(412)	(262)	(2)	(5)	(6)	(6)	(364)	(281)	(418)	(269)
Telecommunications	(394)	(478)	(612)	(605)	(29)	(27)	(17)	(17)	(424)	(505)	(629)	(622)
Insurance	(1,275)	(1,626)	(1,711)	(1,691)	(67)	(71)	(70)	(70)	(1,342)	(1,698)	(1,782)	(1,761)
Professional services	(1,587)	(812)	(969)	(782)	(869)	(2,219)	(1,887)	(1,934)	(2,456)	(3,031)	(2,856)	(2,716)
Penalties	0	-	-	-	(161)	(111)	(201)	(221)	(161)	(111)	(201)	(221)
Bad debts	(117)	(117)	(117)	(117)	(1)	(3)	(3)	(3)	(118)	(120)	(120)	(120)
Training	(201)	(277)	(206)	(179)	(8)	(14)	(6)	(6)	(209)	(290)	(212)	(185)
Stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-
General and administrative expense	(12,834)	(14,114)	(15,778)	(15,357)	(1,976)	(3,586)	(2,889)	(2,934)	(14,810)	(17,700)	(18,667)	(18,291)
Financial expenses	0	0	0	-	-	-	-	-	0	0	0	-
Other expenses	(165)	(257)	(134)	(104)	165	257	134	104	0	(0)	(0)	(0)
EBITDA	49,835	49,163	55,157	56,757	(4,274)	(5,458)	(9,445)	(10,266)	45,560	43,705	45,713	46,490
KPIs												
EBITDA margin	39.5%	36.8%	37.1%	37.6%					35.8%	32.3%	31.5%	31.8%
Salaries as a % of revenue	(47.1%)	(49.5%)	(49.4%)	(49.3%)					(49.0%)	(50.8%)	(52.0%)	(52.0%)

Source: Management provided information, KPMG analysis

Overview (continued)

General and administrative expense (continued)

- **IT costs:** Adjustments pertain to intercompany elimination reconciliation for the Synex Tech entity (TTM Oct-24 and FY24: \$0.4 million), inclusion of IT costs categorized in sell-side adjustment as non-recurring which relate to operational IT costs.
- **Banking fees, telecommunications, insurance:** Include pre-acquisition costs in BMB Assurances.
- **Professional services:** Primarily relates to inclusion of recurring level of transaction costs in each period (\$1.2 million). Cost increase also relates to reversal of sell-side pro forma adjustment of applying current audit costs to previous periods and inclusion of BMB Assurances and Synex Re Ltd. costs on a pro forma basis.
- **Penalties:** Sell-side pro forma presentation shows nil penalties in each period. Our adjustment includes regular customer settlement expenses incurred in the Historical Period.
- **Bad debts and training:** Relates to inclusion of BMB Assurances costs historically on a pro forma basis.
- **Financial expenses:** No adjustments presented.
- **Other expenses:** Adjustments comprise reclasses from 'non-recurring accounts' to the relevant income statement caption.

Adjusted EBITDA by source

Pro forma adjusted EBITDA as presented below is allocated between core operations (P&C and benefits base commissions and Company operating costs), CPC income and other income, the latter two of which are assumed to have no associated costs.

Adjusted EBITDA by source																
\$'000	FY22				FY23				TTM Oct-24				FY24			
	Core operations	CPCs	Other income	Total	Core operations	CPCs	Other income	Total	Core operations	CPCs	Other income	Total	Core operations	CPCs	Other income	Total
Net commission revenue	91,535	-	-	91,535	100,227	-	-	100,227	107,609	-	-	107,609	108,685	-	-	108,685
Contingent commissions	-	18,486	-	18,486	-	17,579	-	17,579	-	19,208	-	19,208	-	19,436	-	19,436
Override	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other revenue	-	-	734	734	-	-	782	782	-	-	1,044	1,044	-	-	1,082	1,082
Benefits revenue	16,425	-	-	16,425	16,894	-	-	16,894	17,308	-	-	17,308	16,916	-	-	16,916
Revenue	107,959	18,486	734	127,179	117,121	17,579	782	135,482	124,916	19,208	1,044	145,168	125,601	19,436	1,082	146,120
Salaries, commissions and benefits	(62,321)	-	-	(62,321)	(68,829)	-	-	(68,829)	(75,474)	-	-	(75,474)	(76,013)	-	-	(76,013)
Selling expenses	(4,488)	-	-	(4,488)	(5,248)	-	-	(5,248)	(5,315)	-	-	(5,315)	(5,325)	-	-	(5,325)
General and administrative expenses	(14,810)	-	-	(14,810)	(17,700)	-	-	(17,700)	(18,667)	-	-	(18,667)	(18,291)	-	-	(18,291)
EBITDA	26,341	18,486	734	45,560	25,343	17,579	782	43,705	25,461	19,208	1,044	45,713	25,972	19,436	1,082	46,490

Source: Management provided information, KPMG analysis

Key trends

Core operations

- **P&C revenue:** On a pro forma adjusted basis, P&C base commissions contributed \$17.2 million (+18.7%) incremental revenue between FY22 and FY24, indicative of organic growth in core brokerage activities and post-integration sales synergies realized from FY22 acquisitions. We understand organic revenue growth over the Historical Period comprised a combination of robust momentum in volumes, complemented by pricing upside from policy premiums.
- **Benefits revenue:** Group benefits base commissions remained largely static between FY23 and FY24 following the \$0.5 million year-on-year increase from FY22. Management noted certain customers who did not renew policies in FY24 as a partial explanation for weaker headline sales performance in FY24.
- **Operating costs:** Operating costs largely trended in line with base commission revenue through the Historical Period, weighing on EBITDA margins generated on core operations. The increase in operating expenses from \$81.6 million in FY22 to \$99.6 million in FY24 is reflective of increasing payroll expenditure in line with headcount expansion and producer commissions paid, and a \$2.0 million increase in IT expenses to support improved infrastructure in certain operating companies.

CPC: Although annual CPC income exhibited a degree of variability over the Historical Period, largely driven by insurer loss ratios, the \$1.0 million increase from FY22 to FY24 is indicative of additional volume generated and a normalization of insurance losses in more recent periods, particularly with respect to P&C business. Bonus commissions associated with group benefits have increased as a percentage of base commissions over the Historical Period, with acquired volumes in FY22 compensated at higher grids in subsequent periods.

Other income: Largely comprises interest income on in trust cash and returns on premium financing arrangements, which increased over the Historical Period in line with interest rates.



03

Net working capital and net debt

3.1	Net working capital	37
3.2	Adjusted net working capital	43
3.3	Net debt	45

Net working capital — overview (1/2)

Adjusted average net working capital was \$13.9 million for FY24 (FY23: \$12.4 million) which includes \$39.7 million of definitional adjustments and (\$0.4) million of due diligence adjustments.

Net working capital						
\$'000	As at			Average		
	31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24
Current assets	99,874	88,431	100,659	79,999	84,326	84,201
Current liabilities	(121,836)	(112,911)	(126,415)	(74,600)	(106,677)	(109,550)
Net working capital, reported	(21,962)	(24,481)	(25,756)	5,399	(22,351)	(25,349)
Definitional adjustments	36,208	41,478	46,728	9,606	35,942	39,665
Sell-side diligence adjustments	(3,005)	(5,859)	(5,746)	(3,177)	(2,903)	(3,258)
Net working capital, sell-side pro forma adjusted	11,240	11,139	15,226	11,828	10,689	11,058
Challenges to sell side adjustments	370	1,093	1,248	(28)	331	348
Other potential adjustments	2,368	2,201	3,185	589	2,258	2,519
Net working capital, adjusted	13,978	14,433	19,660	12,389	13,277	13,925
TTM adjusted net sales	135,482	145,168	146,120	135,482	145,168	146,120
<i>Adjusted working capital, as a % of net sales</i>	<i>10.3%</i>	<i>9.9%</i>	<i>13.5%</i>	<i>9.1%</i>	<i>9.1%</i>	<i>9.5%</i>

Source: Management provided information, KPMG analysis

Basis of preparation

The summary adjusted net working capital schedule opposite presents reported, sell-side adjusted, and pro forma adjusted net working capital as at December 31, 2023, October 31, 2024, and December 31, 2024 as well as averages for FY23, TTM Oct-24, and FY24. Adjustments to reported net working capital presented in the sell-side due diligence report are summarized as follows, with details on adjustments presented as part of our work discussed over the following pages.

Definitional adjustments

The definitional adjustments presented in the sell-side due diligence report primarily relate to certain cash- and debt-like balances included in reported net working capital. The main definitional adjustments impacting average net working capital in FY24 include:

- \$29.1 million add-back related to income tax payables (FY23: \$26.5 million);
- \$12.2 million add-back for the current portion of long-term debt presented as part of current liabilities (FY23: \$12.2 million);
- \$9.1 million adjustment related to a line of credit balance (FY23: \$8.2 million); and
- (\$10.8) million exclusion of reported operating cash and reclassification to net debt (FY23: (\$10.5) million).

Refer to the sell-side due diligence report for further commentary with respect to definitional adjustments.

Net working capital — overview (2/2)

Sell-side due diligence adjustments have a total impact of \$3.3 million on average net working capital for FY24, the most significant components of which comprise costs related to the ongoing transaction and excess cash balances.

Net working capital, detail							
\$'000	Ref	As at			Average		
		31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24
Net working capital, reported		(21,962)	(24,481)	(25,756)	5,399	(22,351)	(25,349)
Definitional adjustments		36,208	41,478	46,728	9,606	35,942	39,665
Net working capital, definitional adjusted		14,245	16,997	20,972	15,005	13,591	14,316
TTM reported net sales		132,416	144,197	148,579	132,416	144,197	148,579
As % of TTM net sales		10.8%	11.8%	14.1%	11.3%	9.4%	9.6%
Sell-side diligence adjustments							
Extraord. and non-recurring items	1	875	631	1,111	647	543	541
Non-recurring salaries and benefits	2	44	19	14	41	30	27
Shareholders expenses	3	41	40	38	47	41	40
Transaction costs	4	-	-	1,597	18	7	150
New producer compensation	5	7	8	9	3	8	8
Contingent revenue true-up impact	6	-	344	0	(363)	275	370
Start-up costs	7	(46)	21	2	(126)	(60)	(50)
Override	8	45	-	-	(175)	(91)	(67)
Non-consolidated entities	9	(2)	1	(21)	(4)	1	(1)
Excess cash	10	(3,973)	(6,929)	(8,500)	(3,895)	(3,730)	(4,283)
Paul Senay pro-forma impact	11	-	-	-	615	68	-
PF recurring audit costs	12	19	19	19	22	20	20
BMS implementation	13	(14)	(14)	(14)	(7)	(14)	(14)
Sell-side diligence adjustments		(3,005)	(5,859)	(5,746)	(3,177)	(2,903)	(3,258)
Net working capital, sell-side pro forma adjust		11,240	11,139	15,226	11,828	10,689	11,058
As % of TTM net sales		8.4%	7.5%	10.1%	8.9%	7.2%	7.3%
Challenges to sell side adjustments		370	1,093	1,248	(28)	331	348
Other potential adjustments		2,368	2,201	3,185	589	2,258	2,519
Net working capital, adjusted		13,978	14,433	19,660	12,389	13,277	13,925
As % of TTM net sales		10.3%	9.9%	13.5%	9.1%	9.1%	9.5%

Source: Management provided information, KPMG analysis

Basis of preparation (continued)

Sell-side due diligence adjustments

Sell-side adjustments to net working capital presented in the due diligence report largely reflect the working capital impact of items adjusted as part of quality of earnings analysis. While there are certain assumptions applied in estimating the working capital impact of the items adjusted in the quality of earnings analysis, the key assumptions and methodologies underpinning adjustments set out in the sell-side net working capital analysis appear substantiated. The main sell-side due diligence adjustments in FY24 include, on an average basis:

- \$0.5 million add-back of extraordinary and non-recurring payables which primarily relate to professional fees and IT costs adjusted as part of the sell-side quality of earnings analysis
- \$0.4 million upward adjustment to the CPC receivable as a result of the re-allocation of out-of-period income true-ups through the year;
- \$0.2 million add-back adjustment for non recurring transaction costs incurred by Management in relation to acquisitions over the Historical Period; and
- exclusion of (\$4.3) million in surplus cash held in trust accounts across the business relative to minimum in trust requirements. Refer to adjustment #8 where we consider the potential impact of premiums receivable aged greater than 90 days.

Refer to the sell-side due diligence report for further details with respect to sell-side net working capital adjustments.

Net working capital - challenges to sell-side adjustments (1/2)

Net working capital, detail							
\$'000	Ref	As at			Average		
		31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24
Net working capital, reported		(21,962)	(24,481)	(25,756)	5,399	(22,351)	(25,349)
Definitional adjustments		36,208	41,478	46,728	9,606	35,942	39,665
Net working capital, definitional adjusted		14,245	16,997	20,972	15,005	13,591	14,316
Sell-side diligence adjustments		(3,005)	(5,859)	(5,746)	(3,177)	(2,903)	(3,258)
Net working capital, sell-side pro forma adjusted		11,240	11,139	15,226	11,828	10,689	11,058
As % of TTM net sales		8.4%	7.5%	10.1%	8.9%	7.2%	7.3%
Challenges to sell-side adjustments							
Extraordinary and non-recurring items	1	21	(129)	(242)	(273)	(264)	(242)
Non-recurring salaries and benefits	2	(29)	(26)	(24)	(25)	(23)	(23)
Shareholders expenses	3	(16)	(18)	(11)	(22)	(17)	(16)
Contingent revenue true-up impact	4	-	(34)	0	(741)	(191)	(185)
Override	5	(45)	-	-	175	91	67
PF recurring audit costs	6	(19)	-	-	(22)	(3)	-
Excess cash - Paul Senay	7	-	-	-	(133)	-	-
Excess cash - premiums aged over 90 day	8	459	1,300	1,525	1,012	739	748
Challenges to sell side adjustments		370	1,093	1,248	(28)	331	348
Other potential adjustments		2,368	2,201	3,185	589	2,258	2,519
Net working capital, adjusted		13,978	14,433	19,660	12,389	13,277	13,925
As % of TTM net sales		10.3%	9.9%	13.5%	9.1%	9.1%	9.5%

Source: Management provided information, KPMG analysis

Challenges to sell-side adjustments

- Extraordinary and non-recurring items:** Reverses net working capital adjustments corresponding to items challenged as part of quality of earnings analysis, including: (i) \$63,000 in IT costs relating primarily to system support, licenses, cybersecurity and maintenance; (ii) \$42,000 in advertising and entertainment expenses considered to be of a recurring nature; and (iii) \$30,000 in recurring recruitment fees.
- Non-recurring salaries and benefits:** Offsets the sell-side net working capital add-back for payroll and expenses accruals associated with the Company's M&A department and the portion of the CVO's time which is assumed to relate to corporate development activities based on the normal payroll cycle in the business. These accruals are continuing in the business on a go forward basis.
- Shareholders expenses:** Sell-side adjusted net working capital includes an add-back for business expenses associated with the three management individuals who are expected to depart upon transaction completion. Since our presentation of adjusted EBITDA includes these expenses, we have made corresponding adjustment to net working capital based on an assumed DPO of 45 days.
- Contingent revenue true-up impact:** The sell-side quality of earnings adjustment related to CPC income true-ups implied that the year end adjustment to reconcile reported CPC income to confirmed income with carriers was accrued on a straight-line basis over the year. However, we have revised the monthly phasing of the CPC revenue true-up impact by reference to monthly base commission revenue relative to annual base commissions for each year, resulting in a \$0.2 million decrease to the average CPC receivable in FY24.

Net working capital - challenges to sell-side adjustments (2/2)

Net working capital, detail							
\$'000	Ref	As at			Average		
		31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24
Net working capital, reported		(21,962)	(24,481)	(25,756)	5,399	(22,351)	(25,349)
Definitional adjustments		36,208	41,478	46,728	9,606	35,942	39,665
Net working capital, definitional adjusted		14,245	16,997	20,972	15,005	13,591	14,316
Sell-side diligence adjustments		(3,005)	(5,859)	(5,746)	(3,177)	(2,903)	(3,258)
Net working capital, sell-side pro forma adjusted		11,240	11,139	15,226	11,828	10,689	11,058
As % of TTM net sales		8.4%	7.5%	10.1%	8.9%	7.2%	7.3%
Challenges to sell-side adjustments							
Extraordinary and non-recurring items	1	21	(129)	(242)	(273)	(264)	(242)
Non-recurring salaries and benefits	2	(29)	(26)	(24)	(25)	(23)	(23)
Shareholders expenses	3	(16)	(18)	(11)	(22)	(17)	(16)
Contingent revenue true-up impact	4	-	(34)	0	(741)	(191)	(185)
Override	5	(45)	-	-	175	91	67
PF recurring audit costs	6	(19)	-	-	(22)	(3)	-
Excess cash - Paul Senay	7	-	-	-	(133)	-	-
Excess cash - premiums aged over 90 days	8	459	1,300	1,525	1,012	739	748
Challenges to sell side adjustments		370	1,093	1,248	(28)	331	348
Other potential adjustments		2,368	2,201	3,185	589	2,258	2,519
Net working capital, adjusted		13,978	14,433	19,660	12,389	13,277	13,925
As % of TTM net sales		10.3%	9.9%	13.5%	9.1%	9.1%	9.5%

Source: Management provided information, KPMG analysis

Challenges to sell-side adjustments (continued)

- 5. Override:** Consistent with our quality of earnings analysis, we have added back the net working capital impact of the sell-side adjustments pertaining to override revenue on the basis that this income is considered to be one-time in nature. Refer to adj. #10 where we discuss the amounts in reported net working capital pertaining to overrides are discussed.
- 6. PF recurring audit costs:** Reflects the net working capital impact of reversing the sell-side quality of earnings adjustment for audit fees normalization in FY23, which is assumed to be settled on 45 day payment terms in the sell-side due diligence analysis.
- 7. Excess cash – Paul Senay:** The sell-side net working capital analysis included a pro forma adjustment to include pre-acquisition working capital reported by the Paul Senay business which was acquired in December 2023. However, this adjustment did not reflect the normalization of excess cash held in trust in the business during periods prior to its acquisition, consistent with the other sell-side adjustment pertaining to excess cash. Our calculations indicate that elimination of excess cash from pre-acquisition reported working capital in Paul Senay would result in a \$0.1 million downward adjustment to average net working capital in FY23.
- 8. Excess cash – premiums aged over 90 days:** The sell-side adjustment to exclude surplus funds held in trust accounts did not consider premiums receivable aged greater than 90 days which are disallowed in the computation of monthly in trust requirements. We estimate the impact of excluding premiums receivable aged for more than 90 days in minimum trust calculations by reference to aging schedules of operating companies at December 31, 2023 which indicated average premiums receivable more than 90 days outstanding was approximately 3.9% of the total balance.

Net working capital — other potential adjustments (1/2)

Net working capital, detail							
\$'000	Ref	As at			Average		
		31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24
Net working capital, reported		(21,962)	(24,481)	(25,756)	5,399	(22,351)	(25,349)
Definitional adjustments		36,208	41,478	46,728	9,606	35,942	39,665
Net working capital, definitional adjusted		14,245	16,997	20,972	15,005	13,591	14,316
Sell-side diligence adjustments		(3,005)	(5,859)	(5,746)	(3,177)	(2,903)	(3,258)
Net working capital, sell-side pro forma adjusted		11,240	11,139	15,226	11,828	10,689	11,058
As % of TTM net sales		8.4%	7.5%	10.1%	8.9%	7.2%	7.3%
Challenges to sell side adjustments		370	1,093	1,248	(28)	331	348
Other potential adjustments							
CBN CPC income	9	(72)	-	-	(37)	(26)	(14)
Override	10	1,858	1,259	2,068	155	1,507	1,685
Transaction costs	11	(97)	(97)	(97)	(97)	(97)	(97)
CPC FY24 forecast	12	-	241	294	-	106	153
Synex Re	13	-	72	72	-	99	111
Internal replacement costs	14	(1)	-	-	(5)	(1)	(0)
GTI salaries true-up	15	-	(4)	48	-	(4)	(0)
BMB Assurances acquisition	16	475	614	546	401	489	497
Adjusting entries in current asset/liabilities	17	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]
Capex supplier balance	18	205	117	255	172	184	186
Other potential adjustments		2,368	2,201	3,185	589	2,258	2,519
Net working capital, adjusted		13,978	14,433	19,660	12,389	13,277	13,925
As % of TTM net sales		10.3%	9.9%	13.5%	9.1%	9.1%	9.5%

Source: Management provided information, KPMG analysis

Other potential adjustments (continued)

- CBN CPC income:** Illustrates the impact on CPC receivable of removing the out-of-period catch-up income from Aviva, consistent with its treatment in the quality of earnings analysis.
- Override:** Override income generated on portfolio transfers between carriers has historically been received upfront, with Management deferring the recognition of override revenue until portfolio transfers are completed, typically in the twelve month period from the date of the agreement. Since all income associated with overrides is removed from EBITDA in the quality of earnings analysis, an adjustment to net working capital is proposed to add back deferred income balances related to advance override receipts, with average net working capital impact of \$1.7 million in FY24.
- Transaction costs:** Estimates the working capital impact if transaction expenses related to bolt-on acquisitions were included in the Company's recurring cost base and incurred evenly over Historical Periods. The quantum of average annual transaction expenditure is based on actual costs incurred between FY22 and FY24.
- CPC FY24 forecast:** CPC receivable is further adjusted to capture the impact of Management's latest forecast for CPC income relating to risk year 2024 (\$0.2 million) which is allocated over the period Jan-24-Dec-24 in line with base commission revenue.
- Synex Re:** As discussed in our quality of earnings analysis, the financial information of Synex Re Ltd. is not captured as part of the sell-side pro forma adjusted results. We present adjustment to include the net working capital impact associated with this entity based on trial balance information for the period since its incorporation.

Net working capital — other potential adjustments (2/2)

Net working capital, detail						
\$'000	Ref	As at			Average	
		31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24
Net working capital, reported		(21,962)	(24,481)	(25,756)	5,399	(22,351)
Definitional adjustments		36,208	41,478	46,728	9,606	35,942
Net working capital, definitional adjusted		14,245	16,997	20,972	15,005	13,591
Sell-side diligence adjustments		(3,005)	(5,859)	(5,746)	(3,177)	(2,903)
Net working capital, sell-side pro forma adjusted		11,240	11,139	15,226	11,828	10,689
As % of TTM net sales		8.4%	7.5%	10.1%	8.9%	7.2%
Challenges to sell side adjustments		370	1,093	1,248	(28)	331
Other potential adjustments						
CBN CPC income	9	(72)	-	-	(37)	(26)
Override	10	1,858	1,259	2,068	155	1,507
Transaction costs	11	(97)	(97)	(97)	(97)	(97)
CPC FY24 forecast	12	-	241	294	-	106
Synex Re	13	-	72	72	-	99
Internal replacement costs	14	(1)	-	-	(5)	(1)
GTI salaries true-up	15	-	(4)	48	-	(4)
BMB Assurances acquisition	16	475	614	546	401	489
Adjusting entries in current asset/liabilities	17	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]
Capex supplier balance	18	205	117	255	172	184
Other potential adjustments		2,368	2,201	3,185	589	2,258
Net working capital, adjusted		13,978	14,433	19,660	12,389	13,277
As % of TTM net sales		10.3%	9.9%	13.5%	9.1%	9.1%

Source: Management provided information, KPMG analysis

Other potential adjustments (continued)

- Internal replacement costs:** The quality of earnings analysis presents an adjustment to reflect the cost base of current accounting and IT departments through all Historical Periods in order to capture the internal cost impact of fulfilling accounting and IT responsibilities which were historically supported by third party providers. The adjustment opposite reflects the impact of these costs on monthly payroll accruals in FY23 and TTM Oct-24.
- GTI salaries true-up:** We understand a payroll expense true-up was recognized in December 2024 in GTI Broker Group Inc. which related to the full year FY24. The impact of this adjustment to net working capital is quantified opposite by re-allocating the true-up over FY24 and estimating the resulting payroll accrual impact.
- BMB Assurances acquisition:** Consistent with our quality of earnings analysis, we include monthly pre-acquisition net working capital associated with BMB Assurances which was acquired in Feb-25. The historical working capital reported by this business is based on the sell-side due diligence report relating to the business which indicated average net working capital of \$0.5 million for FY24. The purchase of a small book of business related to Daniel Belley in Jan-25 is expected to have a negligible working capital impact and, as a result, has not been quantified.
- Adjusting entries in current assets:** *[Waiting on management responses.]*
- Capex payables:** We present an adjustment to sell-side adjusted net working capital to exclude capital supplier payable balances in the Historical Period which are not related to core business operations. Management also indicated that certain internal IT staff costs were capitalized during FY24 relating to the development of a new broker management system in GTI. The adjustment quantified is based on actual monthly capex spend incurred between January 2023 and October 2024 and average vendor payment terms of 45 days. Capex incurred through the Historical Period mainly related to purchases of IT equipment and software. Refer to Appendix 4 for breakdown of capital spending.

Adjusted net working capital (1/2)

Average adjusted net working capital increased to \$13.9 million in FY24 (FY23: \$12.4 million) primarily as a result of an increase of \$2.0 million in CPC receivables.

Net working capital, adjusted						
\$'000	As at			Average		
	31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24
Current assets						
Cash	-	-	-	-	-	-
Cash separated from brokerage	8,069	8,744	7,068	6,376	5,389	4,778
Accounts receivable	5,784	7,434	5,258	5,979	6,445	6,418
CPC receivable	16,792	15,428	18,695	11,043	12,716	13,015
Premiums receivable	55,882	41,121	51,699	42,257	44,440	44,013
Other receivables	509	308	1,170	1,041	666	708
Prepaid expenses	1,147	1,485	1,638	1,279	1,300	1,357
Current assets	88,183	74,521	85,527	67,975	70,956	70,289
Current liabilities						
Account payable	(11,082)	(11,942)	(10,837)	(8,747)	(10,278)	(10,348)
Premiums payable	(59,627)	(45,463)	(51,651)	(44,130)	(44,554)	(43,177)
Deferred revenue	-	(10)	(10)	-	(1)	(2)
Commissions received in advance	(259)	(100)	(194)	(107)	(157)	(166)
Government payables	(3,236)	(2,574)	(3,177)	(2,601)	(2,689)	(2,669)
Current liabilities	(74,205)	(60,088)	(65,867)	(55,585)	(57,679)	(56,364)
Net working capital, adjusted	13,978	14,433	19,660	12,390	13,278	13,925
<i>As % of TTM adjusted net sales</i>	<i>10.3%</i>	<i>9.9%</i>	<i>13.5%</i>	<i>9.1%</i>	<i>9.1%</i>	<i>9.5%</i>

Source: Management provided information, KPMG analysis

Overview

Cash separated from brokerage: Cash separated from brokerage reflects cash balances held in brokerage accounts to cover both net premiums payable to carriers under agency billing arrangements; and government payables. The decrease in average cash in brokerage accounts between FY23 and FY24 is offset by corresponding growth in net premiums owing. The month-end in trust cash requirement is separately computed for each operating entity in the Company through the Historical Period.

Accounts receivable: Include base commission amounts due from carriers under direct billing arrangements which are typically recovered within 60 days of policy sale. The increase from an average monthly balance of \$6.0 million in FY23 to \$6.4 million in FY24 is aligned to growth in base commission revenue over the same period.

CPC receivable: Contingent commissions are typically received annually from carriers and accrued on a monthly basis through the year. Management indicated there were no overdue or legacy balances included in adjusted CPC receivables through the Historical Period.

Premiums receivable and premiums payable: Premiums receivable from customers were largely offset by corresponding amounts payable to carriers on an average basis through the Historical Period, with any funds deficit compensated through cash held in trust. Growth in net premiums due from customers between FY23 and FY24 is attributed to year-on-year base commission growth in P&C brokerage.

Adjusted net working capital (2/2)

Net working capital, adjusted						
\$'000	As at			Average		
	31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24
Current assets						
Cash	-	-	-	-	-	-
Cash separated from brokerage	8,069	8,744	7,068	6,376	5,389	4,778
Accounts receivable	5,784	7,434	5,258	5,979	6,445	6,418
CPC receivable	16,792	15,428	18,695	11,043	12,716	13,015
Premiums receivable	55,882	41,121	51,699	42,257	44,440	44,013
Other receivables	509	308	1,170	1,041	666	708
Prepaid expenses	1,147	1,485	1,638	1,279	1,300	1,357
Current assets	88,183	74,521	85,527	67,975	70,956	70,289
Current liabilities						
Account payable	(11,082)	(11,942)	(10,837)	(8,747)	(10,278)	(10,348)
Premiums payable	(59,627)	(45,463)	(51,651)	(44,130)	(44,554)	(43,177)
Deferred revenue	-	(10)	(10)	-	(1)	(2)
Commissions received in advance	(259)	(100)	(194)	(107)	(157)	(166)
Government payables	(3,236)	(2,574)	(3,177)	(2,601)	(2,689)	(2,669)
Current liabilities	(74,205)	(60,088)	(65,867)	(55,585)	(57,679)	(56,364)
Net working capital, adjusted	13,978	14,433	19,660	12,390	13,278	13,925
<i>As % of TTM adjusted net sales</i>	<i>10.3%</i>	<i>9.9%</i>	<i>13.5%</i>	<i>9.1%</i>	<i>9.1%</i>	<i>9.5%</i>

Source: Management provided information, KPMG analysis

Net working capital, adjusted - summary						
\$'000	As at			Average		
	31-Dec-23	31-Oct-24	31-Dec-24	FY23	TTM Oct-24	FY24
CPC receivable	16,792	15,428	18,695	11,043	12,716	13,015
Accounts receivable	5,784	7,434	5,258	5,979	6,445	6,418
Cash in trust - minimum level	8,069	8,744	7,068	6,376	5,389	4,778
Premiums receivable - allowed	53,681	39,480	49,642	40,631	42,690	42,274
Premiums receivable - disallowed	2,201	1,640	2,057	1,626	1,749	1,739
Premiums payable	(59,627)	(45,463)	(51,651)	(44,130)	(44,554)	(43,177)
Government payables	(3,236)	(2,574)	(3,177)	(2,601)	(2,689)	(2,669)
Net trust position	1,087	1,829	3,940	1,901	2,586	2,944
Other payables and accruals	(9,685)	(10,258)	(8,233)	(6,534)	(8,469)	(8,452)
Net working capital, adjusted	13,978	14,433	19,660	12,390	13,278	13,925
<i>As % of TTM adjusted revenue</i>	<i>10.3%</i>	<i>9.9%</i>	<i>13.5%</i>	<i>9.1%</i>	<i>9.1%</i>	<i>9.5%</i>

Source: Management provided information, KPMG analysis



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Overview (continued)

Other receivables and prepaid expenses: Other receivables includes commission receivable amounts in certain operating companies, while prepaid expenses primarily relates to IT licenses and subscriptions paid in advance.

Accounts payable: Represent amounts owing to employees of the Company, including commission and bonus accruals, alongside balances payable to third party suppliers. We understand producer commissions are paid monthly in arrears, while staff bonuses are paid annually. Management indicated suppliers are generally paid on 45 day terms which remained consistent through the Historical Period.

Commissions received in advance: Relates to upfront commissions received from carriers in situations where commissions are partly paid by carriers at the time of policy sale.

Government payables: Includes federal remittances due with respect to sales and payroll taxes which have generally remained static at \$2.6 million to \$2.7 million throughout the Historical Period. Further details would be required to ascertain the extent of government payables to include herein.

Premiums aged greater than 90 days are disregarded in the determination of surplus cash in trust available for distribution.

Net debt – definitional items (1/2)

The main definitional net debt items include \$241.9 million of retractable redeemable shares, long-term debt of \$258.3 million, and \$12.8 million on a line of credit, offset by operating cash amounting to \$8.3 million at December 31, 2024.

Net debt		
\$'000	Ref	As at 31-Dec-24
Financial indebtedness		
Retractable redeemable shares		(241,896)
Line of credit		(12,750)
Bank indebtedness		(258,303)
Definitional reclasses from net working capital		
Cash		8,342
Obligations related to historical acquisitions		(1,803)
Related party indebtedness		924
Other items		(11,318)
Other reclasses from net working capital		
Extraordinary items		(894)
Excess cash		6,975
Override		(2,068)
Transaction costs		(1,597)
Capex supplier balance		(255)
Net debt, adjusted		(514,644)
Other potential debt-like items		
Note receivable	1	1,437
Synex Re	2	136
Transaction costs	3	n.q.
Unpaid dividends	4	n.q.
BMS/IT systems upgrade	5	n.q.
Purchase consideration for new acquisitions	6	n.q.
Minority interests		
Minority equity		[tbc]
Minority debt		[tbc]

Source: Management provided information, KPMG analysis

Overview

The schedule opposite illustrates the net indebtedness position of the Company as at December 31, 2024 which includes operating cash, bank and shareholder debt, and other long-term obligations presented on the balance sheet. Additionally, we present total \$1.7 million of other reclasses from net working capital identified as part of our work which should be considered in your purchase price negotiations. Each of the components of net debt as presented opposite is discussed below.

Financial indebtedness

The Company's financial indebtedness comprises largely operating lines of credit and long-term debt facilities held with the lending syndicate. It also takes into account \$241.9 million of retractable redeemable shares held by shareholders of the Company and certain operating subsidiaries which are presented at the paid-up capital plus cumulative dividend value.

Definitional reclasses from net working capital

Cash: As at Dec-24, the Company has a reported operating cash balance of \$8.3 million. This cash is separate from balances maintained in trust accounts in operating subsidiaries.

Obligations related to historical acquisitions: Represents balances owing with respect to various acquisitions completed in Historical Periods.

- **Earn-out payable:** Earn-outs payable on past acquisitions totaled \$1.5 million at December 31, 2024, details of which is presented in Appendix 5. We understand earn-out amounts payable are stated at fair value and adjusted based on latest forecasts – the assumptions underpinning expected earn-outs payable in future periods should be subject to specific review at closing and adjusted as appropriate to reflect latest financial projections for the relevant businesses.
- **Purchase price payable:** Purchase price payable as at December 31, 2024 of \$0.2 million reflected the aggregate amount of consideration owed to vendors of acquired operations which was partly deferred under the applicable purchase agreements. We understand the amounts will only be subject to adjustment if specific retention metrics are not achieved. Refer to Appendix 5 for further details.

Related party indebtedness: This account refers balances due from related parties, mainly comprising loans advanced to minority shareholders in operating companies to participate in company buyouts.

Net debt – definitional items (2/2)

Net debt		
\$'000	Ref	As at 31-Dec-24
Financial indebtedness		
Retractable redeemable shares		(241,896)
Line of credit		(12,750)
Bank indebtedness		(258,303)
Definitional reclasses from net working capital		
Cash		8,342
Obligations related to historical acquisitions		(1,803)
Related party indebtedness		924
Other items		(11,318)
Other reclasses from net working capital		
Extraordinary items		(894)
Excess cash		6,975
Override		(2,068)
Transaction costs		(1,597)
Capex supplier balance		(255)
Net debt, adjusted		(514,644)
Other potential debt-like items		
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Transaction costs	3	n.q.
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BMS/IT systems upgrade	5	n.q.
Purchase consideration for new acquisitions	6	n.q.
Minority interests		
Minority equity		[tbc]
Minority debt		[tbc]

Source: Management provided information, KPMG analysis

Definitional reclasses from net working capital (continued)

Other items: Include current income tax obligations and stock options liabilities:

- **Income tax payable:** Includes current income taxes payable as at Dec-24 which pertain to profits earned pre-acquisition and should be for the account of the Vendor (December 31, 2024: \$9.7 million). Since the Company's current income tax obligations are not subject to full computation until financial year end as part of the audit process, the amount of unpaid income taxes relating to earnings generated in all periods prior to completion will be required to be accurately estimated at the closing date.
- **Stock options liability:** The Company has a stock-based compensation program in place for select employees which historically granted share options in a number of operating companies. It is assumed that obligations outstanding under issued stock options will crystallize upon a change of control event in the Company. We also understand the reported amount includes amounts owing under a LTIP in effect for four producer employees. The combined balance as at December 31, 2024 amounted to \$1.9 million.

Other reclasses from net working capital

Extraordinary items: The balance associated with "extraordinary items" opposite relates to non-recurring, non-trade, or one-time amounts in reported working capital which are added-back in the determination of adjusted EBITDA. Accordingly, any associated remaining balances at the closing date should be treated as debt-like and deducted from purchase consideration.

Excess cash: Our analysis indicates that the business held surplus funds in its brokerage accounts at each month end through the Historical Period which is transferred to operating accounts in the first few days of each month. The excess cash in trust represents extra headroom maintained over minimum regulatory requirements. The reclass of surplus funds in brokerage accounts proposes to designate excess cash as available in operations and/or for financing activities (including distribution to shareholders).

Override: Consistent with our proposed treatment in net working capital, we present the residual amount of unearned override income as an item of indebtedness given it has been paid upfront and reflected in operating cash, and is potentially subject to clawback in future periods if the portfolio transfers do not materialize as originally anticipated.

Transaction costs: A \$1.6 million accrual was recognized in December 31, 2024 for professional fees relating to the contemplated divestiture. This amount is presented as indebtedness in the schedule opposite.

Capex payables: The estimated outstanding amount payable to capital suppliers as at Dec-24 is reclassified from net working capital and presented as a debt-like item given it relates to non-trade activities.

Net debt – other potential debt-like items

In addition to adjusted net debt, we highlight a number of other potential debt-like items for your consideration, including notes receivable, unpaid dividends, and near-term IT investment plans. The portion of consolidated indebtedness attributable to minority interests which will remain in the business should be appropriately accounted for at closing.

Net debt		
\$'000	Ref	As at 31-Dec-24
Financial indebtedness		
Retractable redeemable shares		(241,896)
Line of credit		(12,750)
Bank indebtedness		(258,303)
Definitional reclasses from net working capital		
Cash		8,342
Obligations related to historical acquisitions		(1,803)
Related party indebtedness		924
Other items		(11,318)
Other reclasses from net working capital		
Extraordinary items		(894)
Excess cash		6,975
Override		(2,068)
Transaction costs		(1,597)
Capex supplier balance		(255)
Net debt, adjusted		(514,644)
Other potential debt-like items		
Note receivable	1	1,437
Synex Re	2	136
Transaction costs	3	n.q.
Unpaid dividends	4	n.q.
BMS/IT systems upgrade	5	n.q.
Purchase consideration for new acquisitions	6	n.q.
Minority interests		
Minority equity		[tbc]
Minority debt		[tbc]

Source: Management provided information, KPMG analysis

Other potential debt-like items

1. **Note receivable:** This non-current asset includes the following components as at Dec-24:

- a sales price adjustment of \$0.7 million owed by a former shareholder in relation to the Sharp acquisition;
- an amount recoverable from a former shareholder in Renaud arising from a tax audit relating to pre-acquisition periods (\$0.2 million); and
- a \$0.2 million loan to two individuals to finance their purchase of shares in GTI.

The collectability of these balances should be assessed at the closing date to determine their implications in the context of purchase price consideration payable.

2. **Synex Re:** Comprises reported net cash in Synex Re as at Dec-24 which is not incorporated in Company financial results.

3. **Transaction costs:** Consideration should be given to treating as indebtedness any unpaid Vendor professional fees at completion relating to the proposed transaction. We understand an accrual of \$1.6 million for accounting and legal fees related to the current divestiture was included in the December 2024 balance sheet and is reflected in the schedule opposite. In addition, any transaction bonus payable to employees or severance payable to any senior management individual expected to depart upon transaction completion should also be captured in net debt.

4. **Unpaid dividends:** Any dividend amounts due to shareholders of the Company should be fully paid out in advance of transaction completion or treated as a debt-like distribution in the closing funds flow. We understand the preference shareholders of the Company have contractual rights to receive annual dividends which must be fully paid-up at closing.

5. **BMS / IT systems upgrade:** Management represents that the Company has invested significantly in the upgrade of its IT systems in recent periods, notably with respect to operating companies which were acquired in recent years. Certain of the IT infrastructure upgrade projects are continuing, including in GTI. Since future investment in IT systems will be borne by the purchaser, you may want to consider proposing a purchase price adjustment for known future IT capex spend relating to legacy acquisitions which have not yet been completed. Any potential near-term investment requirements in IT systems should be assessed as part of your IT due diligence.

6. **Purchase consideration for new acquisitions:** Purchase consideration paid for acquisitions which completed in early 2025 should be considered as debt-like (net of cash acquired), including any deferred or contingent components of purchase price agreed.

Minority interests: Our working is continuing on validating the inputs to the minority equity and minority debt calculations provided by the Vendors.

04

Reporting

4.1 Financial reporting environment

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Financial reporting environment (1/2)

Organization and reporting process

The financial information presented in this report is primarily based on data contained in the sell-side due diligence datapacks prepared by EY relating to the periods FY22, FY23, and FY24. Reported financial information contained in the sell-side due diligence datapacks was exported from monthly trial balances provided by Management.

The accounting and finance department in the Company currently comprises eight individuals, and has been subject to significant expansion over the Historical Period in order to internalize certain functions and improve internal financial reporting practices, with team size increasing from an average of 3.5 FTEs in FY22 to 7.4 FTEs in FY24. The finance team is currently led by Sylvie Lambert (CFO) who, we understand, is expected to depart upon transaction completion and will be replaced by Marc Noel (current VP of Finance) who has been part of the business since April 2023.

We understand the Company prepares consolidated financial information on a monthly basis, reflecting an aggregation of standalone financial reports submitted by finance teams in each of the operating subsidiaries and adjusted at the head office level to exclude certain intercompany transactions between group companies. There are a number of different accounting systems used by the operating subsidiaries in the business, resulting in some account classification and financial statement mapping variations across individual entities. There is limited integration between the accounting system and other IT platforms used in the group including payroll and broker management systems.

Management represented there are no significant differences between the month end and year end close processes.

Audit experience

The consolidated financial statements of the Company are subject to annual audit by Deloitte. Additionally, Deloitte performs compilation procedures with respect to the standalone financial statements of each of the operating subsidiaries in the group. Financial statements of both the group and its individual subsidiaries are prepared under ASPE, except for the application of different bases of balance sheet presentation for retractable redeemable shares relating to shareholders of the Company and those attributable to non-controlling interests in subsidiaries.

The auditor issued a qualified audit opinion over the consolidated financial statements for the Company with respect to the year ended December 31, 2022 relating to the computation of purchase price accounting adjustments for acquisitions completed during FY22. The consolidated audited financial statements for the year ended December 31, 2023 included a restatement of prior period results for revised purchase price accounting adjustments. Refer to Appendix 1 for a reconciliation of trial balances to audited financial statements for the years ended December 31, 2022 and 2023.

We understand the audit related to the year ended December 31, 2024 is currently ongoing, with Management expecting draft financial statements to be available in early April 2025. Management has not been informed of any material items arising from audit fieldwork completed to date.

Financial reporting environment (2/2)

Key accounting policies

The key accounting policies applied in preparing the Company's financial statements are set out below:

- **Revenue recognition:** Base commission revenue is recognized when contracts are issued to clients, services have been rendered, and there is reasonable certainty that contracts will be signed. All commission revenue is recognized at the point of contract inception, irrespective of the term to which the policy relates. The Company does not recognize a cancellation provision for policies terminated prior to the end of their term. Contingent and bonus commissions are accrued based on Management's best estimates during the year and subject to periodic adjustment as additional information becomes available. Management recognizes a true-up adjustment at each fiscal year end to align reported CPC revenue with amounts confirmed by carriers at the beginning of each calendar year.
- **Producer commissions:** Commissions payable to producers are accrued on a monthly basis by reference to their agreed compensation terms, with commission payments typically occurring one month in arrears.
- **Shareholdings and minority interests:** Entities in which the Company is deemed to have control are fully consolidated into the group financial statements, with the portion of net income attributable to non-controlling interests presented below consolidated net income and allocated to NCI within equity. Where control does not exist, the Company applies the cost method and recognizes the carrying value of its investment at cost less accumulated impairment. Returns from minority interests held by the Company are only recognized in the income statement to the extent they are received or receivable.
- **Cash in trust / restricted cash:** Cash balances maintained in designated brokerage accounts in subsidiaries are presented as restricted cash on the balance sheet.

Management represented that accounting policies are applied uniformly across the group.

05

Appendices

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5.5	Net debt	59			

Income statement reconciliation to audited financial statements – FY22

Income statement reconciliation FY22												
\$'000	Consol.	Bonus comm.	Broker commis. expense	Selling expenses reclass.	Reclass. finance expenses	Reclass. interest on debt	Other reclass.	Audited financial statements	Restat.	Reclass.	Audited financial statements - restated	
Net commission revenue	81,340	-	12	-	-	-	1,642	82,994	(2,042)	(1,502)	79,450	
Contingent commissions	17,855	(1,338)	-	-	-	-	(92)	16,424	-	(2,602)	13,822	
Bonus commissions	-	1,338	-	-	-	-	-	1,338	-	126	1,465	
Override	-	-	-	-	-	-	-	-	-	-	-	
Other revenue	1,169	-	-	-	-	(356)	(189)	624	-	-	624	
Life insurance	-	-	-	-	-	-	451	451	-	(451)	-	
Benefits revenue	12,484	-	-	-	-	-	1,219	13,703	-	2,721	16,424	
Revenue	112,848	-	12	-	-	(356)	3,030	115,534	(2,042)	(1,707)	111,786	
Salaries, commissions and benefits	(56,556)	-	(12)	16	-	-	(3,385)	(59,936)	2,042	1,645	(56,250)	
Selling expenses	(3,924)	-	-	(16)	-	-	(223)	(4,163)	-	25	(4,137)	
General and administrative expenses	(13,703)	-	-	-	-	-	1,878	(11,825)	-	28	(11,797)	
Financial expenses	(2,803)	-	-	-	3,092	-	(296)	(7)	-	(0)	(7)	
Operating expenses	(76,985)	-	(12)	-	3,092	-	(2,026)	(75,931)	2,042	1,698	(72,191)	
Operating income	35,863	-	-	-	3,092	(356)	1,004	39,603	-	(8)	39,594	
Other expenses (revenues)	(5,789)	-	-	-	(3,092)	-	(1,357)	(10,238)	-	8	(10,229)	
EBITDA	30,075	-	-	-	-	(356)	(354)	29,365	-	0	29,365	
Amortization	(8,208)	-	-	-	-	-	339	(7,870)	710	-	(7,160)	
Interest on debt	(29,690)	-	-	-	-	356	(51)	(29,385)	(335)	-	(29,720)	
Income taxes	(5,457)	-	-	-	-	-	40	(5,417)	5,870	-	453	
Net Income	(13,281)	-	-	-	-	-	(25)	(13,306)	6,245	0	(7,062)	

Source: Consolidated Audited financial statements

Overview

The audited financial statement reconciliation presented opposite illustrates a bridge from the consolidated income statement presented in this report to the audited financial statements, showing the impact of various reclassifications and adjustments. Additionally, the schedule presents a reconciliation from the audited financial statements to the restated financial statements for FY22.

A reconciling difference of \$0.4 million between EBITDA per the financials and EBITDA per the consolidated income statement has been noted, for which a potential adjustment to EBITDA has been proposed at adjustment #17 in our quality of earnings analysis.

Note Management has not provided full explanation for the nature of items presented as “other reclasses” opposite.

Restatement

The audited financial statements for FY22 were restated in the FY23 financial statements to adjust for a purchase price allocation amount which had not been quantified as at December 31, 2022. The restatement also reflected the impact of a change in accounting policy regarding the presentation of commission income / commission expense.

Income statement reconciliation to audited financial statements – FY23

Income statement reconciliation FY23					
\$'000	FY23	Bonus comm.	Palladium broker	Other reclass.	Audited financial statements
Net commission revenue	96,308	-	7	(3,012)	93,303
Contingent commissions	17,259	(1,946)	-	0	15,312
Bonus commissions	-	1,946	-	-	1,946
Override	792	-	-	-	792
Other revenue	1,256	-	-	9	1,266
Benefits revenue	16,802	-	-	2,935	19,737
Revenue	132,416	-	7	(67)	132,356
Salaries, commissions and benefits	(70,373)	-	-	59	(70,314)
Selling expenses	(4,499)	-	-	(274)	(4,773)
General and administrative expenses	(16,054)	-	(7)	(592)	(16,653)
Financial expenses	(577)	-	-	58	(519)
Operating expenses	(91,502)	-	(7)	(750)	(92,259)
Operating income	40,914	-	-	(817)	40,097
Other expenses (revenues)	(1,937)	-	-	815	(1,122)
EBITDA	38,978	-	-	(2)	38,975
Amortization	(21,196)	-	-	(0)	(21,196)
Interest on debt	(45,257)	-	-	2	(45,255)
Income taxes	872	-	-	(0)	872
Net Income	(26,604)	-	-	(0)	(26,604)

Source: Consolidated Audited financial statements

Overview

The audited financial statement reconciliation presented opposite illustrates a bridge from the consolidated income statement presented in this report to the audited financial statements, showing the impact of various reclassifications and adjustments.

Reclasses

- The reclassifications primarily relate to presentation differences between revenue and expense captions which net to nil at the reported EBITDA level.
- The main reclassification includes a \$1.9 million adjustment that reallocates the portion of contingent commission that relates to group benefits to bonus commission income which is presented separately in the audited financial statements.
- The other reclassifications section includes a \$1.5 million adjustment under operating expenses related to the stock-based compensation plan established in 9484-0857 Quebec Inc., Palladium Insurance Brokers Ltd., and 9114-5219 Quebec Inc., subsidiaries where certain employees were granted stock options. This reclassification was made from non-operating to operating expenses.
- Management has not provided full explanation for the nature of other items presented as “other reclasses” opposite.

Balance sheet reconciliation to audited financial statements – Dec-22

Balance sheet reconciliation FY22							
\$'000	FY22	Reclass	Audited financial statements	Reclass. Revenue	Restatement of PPA (NCI)	Future taxes	Audited financial statements - restated
Assets							
Cash	7,447	0	7,447	-	-	-	7,447
Cash separated from brokerage	17,432	(0)	17,432	-	-	-	17,432
Government receivables	8	(8)	-	-	-	-	-
Accounts receivable	5,086	18,054	23,140	-	-	-	23,140
Other current assets	67,699	(17,272)	50,427	-	-	-	50,427
Current assets	97,664	782	98,446	-	-	-	98,446
Non-current assets	372,791	(2,317)	370,474	5,142	-	40,840	416,456
Assets	470,456	(1,536)	468,920	5,142	-	40,840	514,902
Liabilities and shareholders' equity							
Line of credit	2,000	-	2,000	-	-	-	2,000
Accounts payable	10,515	2,492	13,007	-	-	-	13,007
Premiums payable	57,320	635	57,955	-	-	-	57,955
Deferred Revenue	-	-	-	-	-	-	-
Other payable	15,245	3,927	19,172	(1,353)	335	-	18,154
Current liabilities	85,080	7,054	92,134	(1,353)	335	-	91,116
Retractable redeemable shares	158,091	(14)	158,077	-	-	-	158,077
Stock options liability	155	1	156	-	-	-	156
Earn-out payable	14,855	(14,855)	-	-	-	-	-
Future income taxes	-	-	-	-	-	29,512	29,512
Long-term debt	247,601	(4,089)	243,512	-	-	-	243,512
Financing fees	(4,089)	11,736	7,647	-	-	-	7,647
Non-current liabilities	416,614	(7,222)	409,392	-	-	29,512	438,904
Total liabilities	501,694	(168)	501,526	(1,353)	335	29,512	530,020
Total equity	(31,238)	(1,368)	(32,606)	6,495	(335)	11,328	(15,118)
Liabilities and equity	470,456	(1,536)	468,920	5,142	-	40,840	514,902

Source: Consolidated Audited financial statements

Overview

The audited financial statement reconciliation presented opposite illustrates a bridge from the consolidated balance sheet presented in this report to the audited financial statements, showing the impact of various reclassifications and adjustments.

Note Management has yet to provide a full explanation with respect to the items shown as “reclasses” opposite.

Restatement

The audited financial statements for FY22 were restated in the FY23 financial statements to adjust for a purchase price allocation amount which had not been quantified as at December 31, 2022. The restatement resulted in the following impact on the Dec-22 balance sheet:

- a \$40.8 million adjustment to deferred tax assets arising from a change in accounting policy for future income taxes.
- a net impact of \$5.1 million relating to purchase price allocation revisions and corresponding adjustment to goodwill.
- a reclassification of \$0.3 million between equity and liability accounts resulting from revised purchase price accounting workings.

Balance sheet reconciliation to audited financial statements – Dec-23

Balance sheet reconciliation FY23			
\$'000	FY23	Reclasses	Audited financial statements
Assets			
Cash	7,443	1,148	8,591
Cash separated from brokerage	11,482	(893)	10,589
Government receivables	187	(187)	-
Accounts receivable	6,255	17,326	23,581
Other current assets	74,506	(13,978)	60,528
Current assets	99,874	3,415	103,289
Non-current assets	404,268	(1,783)	402,485
Assets	504,142	1,633	505,774
Liabilities and shareholders' equity			
Line of credit	7,000	-	7,000
Accounts payable	11,603	2,697	14,300
Premiums payable	59,627	2,072	61,700
Deferred Revenue	1,858	415	2,273
Current portion of long-term debt	12,195	(1,775)	10,420
Other payable	41,748	(22,546)	19,202
Current liabilities	121,836	(17,361)	104,475
Retractable redeemable shares	192,290	361	192,651
Stock options liability	1,619	1	1,619
Earn-out payable	8,858	(8,858)	-
Long-term debt	243,926	(2,471)	241,456
Financing fees	(2,471)	2,471	-
Non-current liabilities	444,222	19,468	463,691
Total liabilities	566,059	2,107	568,166
Total equity	(61,917)	(475)	(62,392)
Liabilities and equity	504,142	1,632	505,774

Source: Consolidated Audited financial statements

Overview

The audited financial statement reconciliation presented opposite illustrates a bridge from the consolidated balance sheet presented in this report to the audited financial statements, showing the impact of various reclassifications and adjustments.

Note Management has yet to provide a full explanation with respect to the items shown as “reclasses” opposite.

Sell-side challenges overview

Quality of earnings - challenges overview													
		Sell-side adjustments				Challenges (unaccepted)				No challenge (accepted)			
		FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24	FY22	FY23	TTM Oct-24	FY24
\$'000													
Sell side adjustments													
Extraordinary and non-recurring items	1	5,910	4,958	4,006	4,507	732	2,205	2,145	1,973	5,178	2,754	1,861	2,534
Non-recurring salaries and benefits	2	2,068	2,862	1,916	1,519	830	1,178	1,141	1,153	1,238	1,683	775	367
Shareholders expenses	3	1,421	1,933	1,730	1,712	-	179	141	133	1,421	1,754	1,589	1,579
Non-cash incentive compensation	4	155	1,464	570	332	-	220	916	1,055	155	1,244	(346)	(723)
Transaction costs	5	4,778	147	52	1,236	276	-	-	-	4,503	147	52	1,236
New producer compensation	6	n.q.	354	883	888	-	-	-	-	-	354	883	888
Contingent revenue true-up impact	7	(768)	-	1,532	-	(0)	0	(530)	0	(768)	(0)	2,063	(0)
Unrealized FX gain/loss	8	(70)	577	(193)	(580)	-	-	-	-	(70)	577	(193)	(580)
Start-up costs	9	498	474	471	360	-	-	-	-	498	474	471	360
Override	10	-	-	750	-	-	-	750	-	-	-	-	-
Interest expense (bank fees)	11	54	138	(18)	(0)	-	-	-	-	54	138	(18)	(0)
Interest income	12	(565)	(383)	(560)	(616)	-	-	-	-	(565)	(383)	(560)	(616)
Accounting corrections	13	(281)	(0)	152	-	(356)	(0)	76	-	75	-	76	-
Change in financial instrument	14	-	(3,626)	170	-	-	-	-	-	-	(3,626)	170	-
Non-consolidated entities	15	(4)	8	(1)	(1)	-	-	-	-	(4)	8	(1)	(1)
Montreal office project	16	-	-	113	150	-	-	113	150	-	-	-	-
Sell-side adjustments		13,196	8,906	11,573	9,508	1,481	3,782	4,751	4,464	11,715	5,124	6,823	5,043
PF sell side diligence adjustments													
Adjusted EBITDA - Pre-acquisition	17	6,357	812	979	1,062	891	-	856	1,027	5,466	812	123	35
PF recurring audit costs	18	n.q.	181	160	160	-	181	27	-	-	-	134	160
PF rent adjustment	19	207	287	257	240	77	77	30	17	130	209	227	222
BMS implementation	20	n.q.	n.q.	338	406	-	-	-	-	-	-	338	406
PF sell side diligence adjustments		6,564	1,279	1,734	1,868	968	258	913	1,044	5,596	1,021	822	824

Source: Management provided information, KPMG analysis

New producer compensation

New producer compensation								
\$'000			FY23		TTM Oct-24		FY24	
	Start date	Dec-24 status	Commission	Salary	Commission	Salary	Commission	Salary
Producer 1	n.a.	Invalid	30	(154)	42	(154)	34	(154)
Producer 2	Mar-23	Invalid	15	(104)	17	(125)	16	(125)
Producer 3	Oct-23	Invalid	-	(37)	2	(111)	4	(111)
Producer 4	Oct-23	Invalid	3	(83)	67	(330)	83	(330)
Producer 5	Nov-23	Invalid	-	(23)	23	(138)	46	(138)
Producer 6	Jan-24	Invalid	-	-	10	(96)	15	(116)
Producer 7	Mar-24	Invalid	-	-	2	(92)	2	(115)
Total			47	(401)	163	(1,046)	200	(1,088)

Source: Management provided information, KPMG analysis

Net working capital support – Capex

CAPEX capital spending breakdown		
\$'000	FY23	FY24
Computer equipment	960	730
Software	27	640
Leasehold improvements	238	168
Furniture and equipment	162	96
Total	1,387	1,633

Source: Management provided information, KPMG analysis

Net debt support – Obligations related to past acquisitions

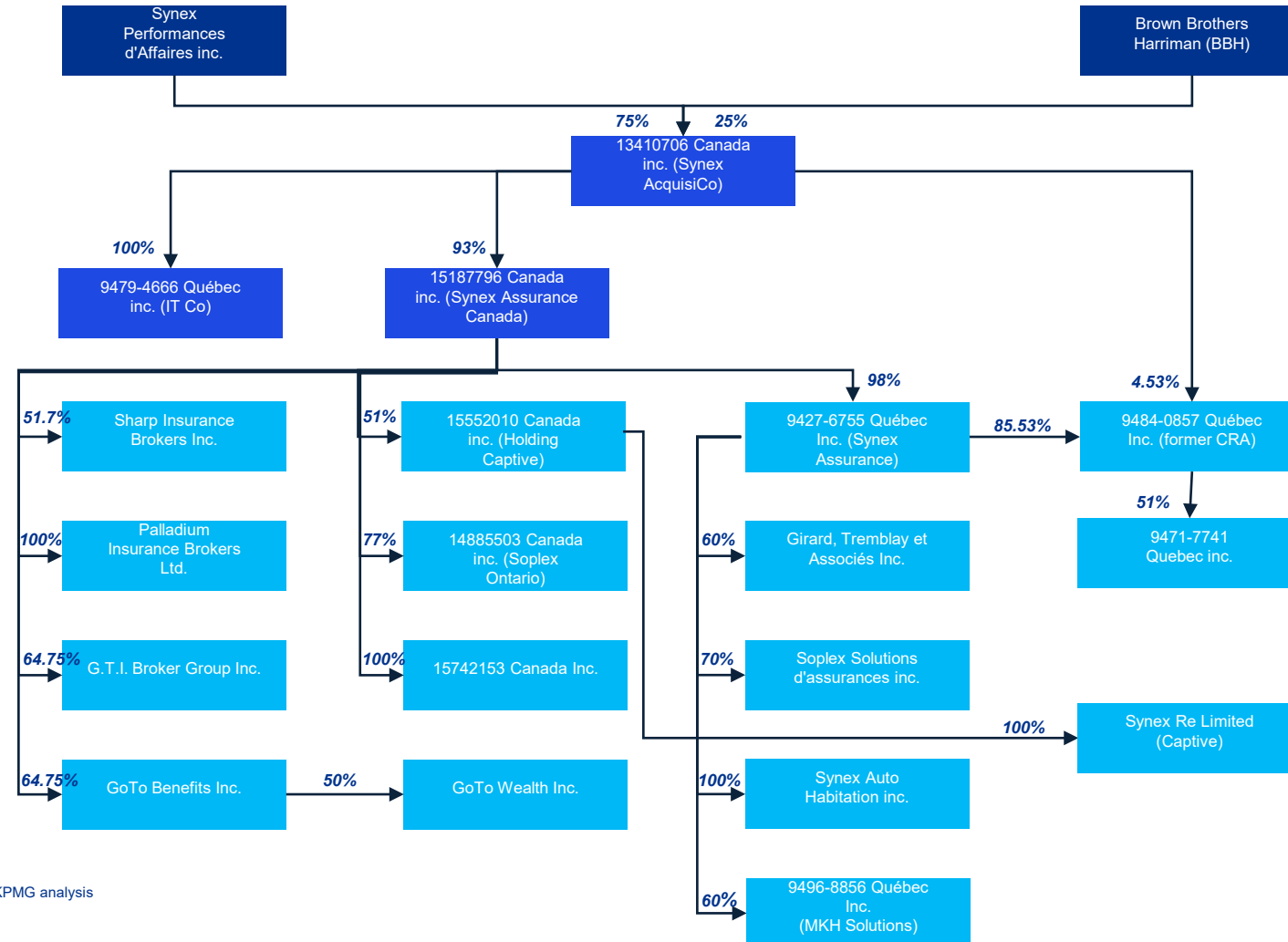
Earn-out payables breakdown		
	As at	
\$'000	31-Oct-24	31-Dec-24
Paul Senay	(655)	(655)
Deslauriers & Associés inc	(841)	(841)
Simon Descarreaux	(16)	(51)
Total	(1,512)	(1,548)

Source: Management provided information, KPMG analysis

Purchase price balance breakdown		
	As at	
\$'000	31-Oct-24	31-Dec-24
Claude Paquette	(107)	(107)
France Lacelle	(149)	(149)
Total	(255)	(255)

Source: Management provided information, KPMG analysis

Legal structure (1/2) – P&C



Source: Management provided information, KPMG analysis



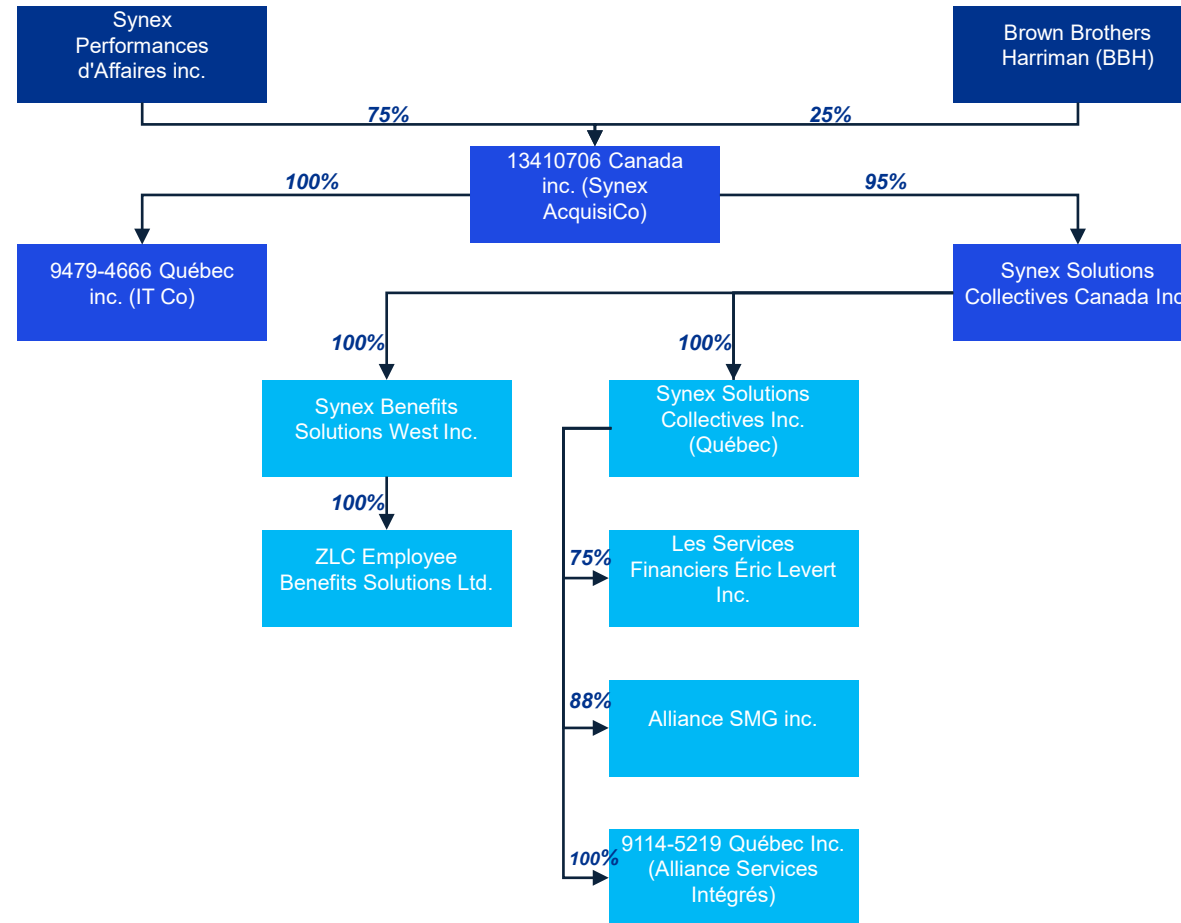
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Legal structure (2/2) – Group benefits



Source: Management provided information, KPMG analysis

Basis of preparation

Scope of work



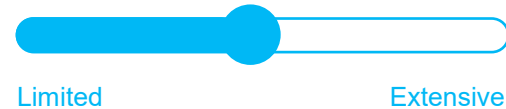
KPMG LLP ('KPMG') has been engaged by Client (Ares Capital Management LLC) to prepare a financial due diligence report in connection with the potential acquisition of Synex Benefits Solutions Inc. ('Target' or the 'Company'). The report has been prepared in accordance with our engagement letter dated February 20, 2025.

Our work on historical financial performance comprises the fiscal years FY22, FY23, and FY24, and the trailing twelve month period ended October 31, 2024 (collectively, the "Historical Period"). We have analyzed the balance sheet as at December 31, 2023, December 31, 2024, and October 31, 2024 and our analysis of net working capital was performed on monthly balance sheet captions for the period January 2023 to December 2024.

Our scope of work for the current phase did not include analysis of the sales cube / book of business for the Historical Period.

Please refer to Appendix 8 for full details on the scope of our work.

Access to management



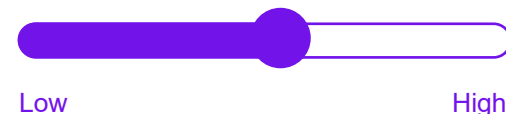
During the course of our work our main points of contact have been representatives from the EY sell-side diligence team, including by Julie Marineau (Partner) and David Orloff (Senior Manager), and Management of Target, represented by Yan Charbonneau (CVO), Sylvie Lambert (CFO), Marc Noel (SVP of Finance), and Emile Sauvageau (VP of M&A and Finance).

We held an initial call with Management on February 20, 2025, and arranged a follow up call which took place on March 5, 2025.

Overall, we have had reasonable access to both the Management and the EY sell-side due diligence teams, which have been co-operative in providing various information requests and responding to our questions in a timely manner.

The contents of our report have not been reviewed by the Management of Target and the factual accuracy of this report has not been confirmed by the Management.

Quality of information



The requested information has been provided through the virtual data room to which we have had unrestricted access. As of the date of this report, certain information requests and questions remain outstanding with Management.

Our work has relied on certain key sources of information including, but not limited to; (i) EY sell-side due diligence report and corresponding datapack covering periods up to October 31, 2024, (ii) EY sell-side due diligence roll-forward quality of earnings and net working capital datapacks prepared to December 31, 2024; (iii) consolidated audited financial statements for the Company for the years ended December 31, 2022 and December 31, 2023; (iv) various account breakdowns and supporting schedules provided by Management and EY. We note some areas where Management could not provide requested information which was fully reconcilable to the internal financial statements, specifically with respect to: (i) consolidated balance sheet listings at year end dates; (ii) analysis of base and bonus commission income for group benefits for all Historical Periods; and (iii) consolidated schedule of historical payroll costs for all periods in the scope of our work.

Scope of work (1/6)

Area	Description
General	1. Read information provided by management to obtain background information about the Company, including its: • History; • Organizational structure and management reporting relationships; • Marketing and distribution channels; • Range of products and services; • Range of regions served; • Business risks and opportunities; • Acquisition history; and • Information systems.
General	2. Read the Company's financial statements and inquire about accounting policies and practices, including: • Significant accounting policies, including assumptions utilized in revenue recognition; contingent commissions, allowance for cancellations, other provisions / reserves; • Accounting for past acquisitions and divestures; • Recent or contemplated changes in accounting principles, procedures, or estimates; • Related party transactions, if any; and • Internal control environment

Scope of work (2/6)

Area	Description
General	3. Read Company's sell-side advisor's Financial Due Diligence Report. Discuss management, due diligence and pro forma adjustments and related supporting analysis with Management and sell-side advisor.
General	4. Comment on the sell-side quality of earnings report and adjustments proposed by Management and sell-side advisor.
General	5. If available, read the Company's auditors' workpapers, management letter, and reports to the audit committee for the most recently completed audit.
Financial performance	6. Obtain and read an analysis of the Company's revenues and inquire about: • Commission and fee income trends and recognition; • Contingent commissions trends and recognition (including by carrier); • Service and other fee income and their respective cancellation provision, if any; • Treatment of interest income; • Treatment of commission splits, if any; • Cut off; • Sales, marketing, and advertising activities; and • Non-recurring, unusual and/or extraordinary items.

Scope of work (3/6)

Area	Description
Financial performance	7. Obtain and read an analysis of the proforma financial statements and inquire about organic vs. acquired revenue growth including: - Components of organic growth - Subsequent performance of acquisitions compared to projections at acquisition date
Financial performance	8. Obtain and read an analysis of the Company's expenses and inquire about: • Employee compensation, including incentive bonuses, draws on producer; • Producer concentration; • Deferred consideration provided to acquired producer groups; • Transaction expenses; • Other operating and non-operating costs; • Cut off; and • Non-recurring, unusual and/or extraordinary items.
Financial performance	9. Obtain analysis of historical headcount and employee compensation (including bonus expense and commission) by office by department.
Financial performance	10. Obtain the underlying supporting analysis (i.e. underlying preparation assumptions or due diligence reports) of the impact of prior acquisitions and acquired producers on reported results as if the acquisitions/producers were acquired on January 1,2023.

Scope of work (4/6)

Area	Description
Financial performance	11. Summarize potential adjustments identified regarding the profit and loss performance of the Company for 2023, 2024 and LTM 25 in the form of a quality of earnings analysis, summarizing identified risks that may impact earnings before interest, taxes, depreciation and amortization (“EBITDA”).
Financial position	12. Obtain and read an analysis of the Company’s premiums and commissions receivable and other assets and inquire about: • Aging analysis; • Carrier advances; • History of cancellation due to premium delinquency; • Prepaid expenses; and • Other accounts receivable.
Financial position	13. Obtain and read an analysis of the Company’s premiums due to insurance companies and other liabilities and inquire about: • Premiums payable and aging; • Deferred compensation accrual; • Accrual for incentive compensation and commission true ups, if any; • Accrued expenses; • Float position and average balance, if applicable; • Other current and non-current liabilities; and

Scope of work (5/6)

Area	Description
Financial position	14. Inquire about contingent earnout liabilities related to historical acquisitions including: • Details of each earnout agreement and historical tracking analysis; • Current obligation under US GAAP; • Expected obligation based on current performance of acquisitions; • Expected obligation based on future performance of acquisitions; • Roll forward of contingent earnout liability as of the most recent month-end; and • Change of control provisions.
Financial position	15. Inquire about significant commitments and contingent liabilities including: • Self-insurance; • Incentive program (including change of control provisions); • Post-retirement benefits; • Unfunded pension; • Deferred/contingent acquisition costs and earn-outs; • Pending or threatened litigation or investigations by regulatory or other authorities; and • Capital expenditures.

Scope of work (6/6)

Area	Description
Financial position	16. Inquire about whether the Company has entered into leases, sales and purchase commitments or contracts, or has otherwise restricted the use of Company’s assets or has incurred liabilities otherwise not disclosed. Inquire about change-in-control provisions in significant contracts, including employment and union contracts and other equity-related agreements.
Financial position	17. Based upon the procedures performed, summarize items identified that you may consider as “debt-like” for consideration in your overall evaluation of the business.
Financial position	18. Obtain an analysis of the monthly working capital components for the last two fiscal years and latest year- to-date period and provide comments regarding working capital needs, seasonality and trends identified.

Glossary of terms and abbreviations – list of entities

AFL	AFL Groupe Financier inc.	JM	J.M. & C.W. Hope Grant Ltd.
ASI	9114-5219 Québec Inc. (Avantages sociaux intégrés (ASI))	MKH	MKH Solutions
CRA	Couture Rochette & Associés inc.	PlanB	Plan B Solutions d'assurances Inc.
DA	Deslauriers Assurances Inc. / Deslauriers & Associés Inc.	RAG	Renaud Assurance et Gestion de Risques Inc.
GTA	Girard Tremblay & Associés inc.	SAC	Synex Assurance Canada
GTB	Goto Benefits inc.	SAH	Synex Auto Habitation inc.
GTI	GTI Broker Group inc.	SFEL	Les services financiers Éric Lervert Inc.
GTW	GTW	Sharp	Sharp Insurance Brokers inc.
Invessa	Invessa Assurances et Services Financiers Inc.	SMG	Alliance SMG inc.
JDF	Services financiers JDF inc.	ZLC	ZLC Employee Benefits Solutions inc.

Glossary of terms and abbreviations (1/2)

AP	Accounts payable	FY	Financial year-end
AR	Accounts receivable	KPI	Key performance indicator
ASPE	Accounting standards for private enterprises	LLC	Limited Liability Corporation
BMB	BMB Assurances Inc.	LLP	Limited liability Partnership
CAD	Canadian Dollar	LOI	Letter of intent
CAGR	Compound annual growth rate	LTIP	Long-term incentive plan
Capex	Capital expenditure	LTM	Last twelve months
CBN	Canadian Broker Network	M&A	Merger and acquisition
CLI	Cal LeGrow Insurance & Financial Group	Management	Management of the Company
CPC	Contingent profit commission	MGA	Managing general agent
CVO	Chief Vision Officer	NWC	Net working capital
DPO	Days payable outstanding	P&C	Property and casualty
EBITDA	Earnings before interest, tax, depreciation and amortization	p.a	per annum
EY	Ernst and Young	PF	Pro forma
FTE	Full-time equivalent	QoE	Quality of earnings
FX	Foreign exchange	R&D	Research and development

Glossary of terms and abbreviations (2/2)

SPA	Share purchase agreement
SUAD	Schedule of unadjusted audit differences
TTM	Trailing twelve months
YTD	Year to date



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